

H.933

Introduced by Committee on Ways and Means

Date:

Subject: Taxation; income tax; property transfer tax; use value appraisal;
property tax; property valuation; municipal grand list stabilization;
equalization study; health IT fund; education finance; inflation index;
homestead declaration; property tax credit; estate tax; federal tax
credit for contributions to scholarship granting organizations; grand
lists; grand list assessment date; municipal tax collection; meals and
rooms tax; purchase and use tax; general fund; education fund;
transportation fund

Statement of purpose of bill as introduced: This bill proposes to make
multiple administrative and policy changes to Vermont tax laws.

An act relating to miscellaneous administrative and policy changes to the
tax laws

It is hereby enacted by the General Assembly of the State of Vermont:

~~Section 1. Credit for Taxes Paid in Another State by an S Corporation~~

Sec. 1. REPEAL

~~22 V.S.A. § 5016 (denial of tax credits for S corporations) is repealed.~~

~~*** Property Transfer Tax ***~~

Sec. 2. 32 V.S.A. § 9602 is amended to read:

§ 9602. TAX ON TRANSFER OF TITLE TO PROPERTY

A tax is hereby imposed upon the transfer by deed of title to property located in this State, or a transfer or acquisition of a controlling interest in any person with title to property in this State. The amount of the tax equals 1.25 percent of the value of the property transferred, or \$1.00, whichever is greater, except as follows:

* * *

(4) Tax shall be imposed at the rate of 3.4 percent of the value of the property transferred with respect to transfers of residential property:

(A) ~~residential property~~ that is fit for habitation on a year-round basis;

(B) that will not be used as the principal residence of the transferee; and

(C) for which the transferee will not be required to provide a landlord certificate pursuant to section 6069 of this title.

(5) If a transfer would have been subject to the tax rate under subdivision (4) of this section but for the transferee's filing of a landlord certificate of rent for which there is no bona fide landlord-tenant relationship between the parties, the Commissioner shall assess tax at the rate under

1 ~~subdivision (4) of this section on the transfer. To make this determination, the~~
2 Commissioner may consider whether the transferee and tenant are related
3 parties, whether the transferee charges the tenant fair market rent, whether the
4 transferee is an entity with a business purpose other than the avoidance of
5 property transfer tax, and any other factor the Commissioner deems relevant.

6 * * * Current Use; Land Use Change Tax * * *

7 Sec. 3. 32 V.S.A. § 3757 is amended to read:

8 § 3757. LAND USE CHANGE TAX

9 (a) Land that has been classified as agricultural land or managed forestland
10 pursuant to this chapter shall be subject to a land use change tax upon the
11 development of that land, as defined in section 3752 of this chapter. The tax
12 shall be at the rate of 10 percent of the full fair market value of the changed
13 land determined without regard to the use value appraisal. If changed land is a
14 portion of a parcel, the fair market value of the changed land shall be the fair
15 market value of the changed land as a separate parcel, divided by the common
16 level of appraisal. Such fair market value shall be determined as of the date
17 the land is no longer eligible for use value appraisal. This tax shall be in
18 addition to the annual property tax imposed upon such property. Nothing in
19 this section shall be construed to require payment of an additional land use
20 change tax upon the subsequent development of the same land, nor shall it be
21 ~~construed to require payment of a land use change tax merely because~~

1 ~~previously eligible land becomes ineligible, provided no development of the~~
2 land has occurred.

3 (b) Any owner of eligible land who wishes to withdraw land from use
4 value appraisal shall notify the Director, who shall in turn notify the local
5 assessing official. In the alternative, if the Director determines that
6 development has occurred, the Director shall notify the local assessing official
7 of his or her the Director's determination. Thereafter, land that has been
8 withdrawn or developed shall be appraised and listed at its full fair market
9 value in accordance with the provisions of chapter 121 of this title and
10 subsection 3756(d) of this title, according to the appraisal model and land
11 schedule of the municipality.

12 (c) For the purposes of the land use change tax, the determination of the
13 fair market value of the land shall be made by the local assessing officials in
14 accordance with ~~the provisions of~~ subsection (b) of this section and divided by
15 the municipality's most recent common level of appraisal as determined by the
16 Director. The determination shall be made within 30 days after the Director
17 notifies the local assessing officials of the date that the owner has petitioned
18 for withdrawal from use value appraisal or that the Director or local assessing
19 official has determined that development has occurred. The local assessing
20 officials shall notify the Director and the owner of their determination, and ~~he,~~
21 ~~failing a determination of the fair market value of the withdrawn portion of~~

1 ~~the parcel by the local assessing officials within 30 days as required under this~~
2 subsection, the Director shall establish the fair market value of the changed
3 land and notify the local assessing officials and the owner of the Director's
4 determination within 30 days. The provisions for appeal relating to property
5 tax assessments in chapter 131 of this title shall apply, except that the owner
6 shall have 30 days to appeal the determination to the municipality or to the
7 Director as applicable under this subsection. If an owner erroneously appeals
8 a municipality's determination to the Director, the Director may forward the
9 appeal to the municipality and, provided the appeal to the Director is made
10 within 30 days as permitted under this subsection, the appeal shall be
11 considered timely filed to the municipality.

12 (d) The land use change tax shall be due and payable by the owner 30 days
13 after the tax notice is mailed to the taxpayer owner. The tax shall be paid to
14 the Commissioner, who, if the municipality's local assessing officials timely
15 determine fair market value of the withdrawn portion of the parcel pursuant to
16 subsection (c) of this section, shall remit to the municipality the lesser of one-
17 half the tax paid or \$2,000.00. ~~The Director and~~ shall deposit three-quarters of
18 the remainder of the tax paid in the Education Fund, and one-quarter of the
19 remainder of the tax paid in the General Fund. If the municipality's local
20 assessing officials fail to timely determine fair market value of the withdrawn
21 portion of the parcel pursuant to subsection (c) of this section, the municipality

1 ~~shall forfeit any tax paid and the Commissioner shall deposit three quarters of~~
2 ~~the tax paid in the Education Fund, and one-quarter of the tax paid in the~~
3 ~~General Fund.~~ The Commissioner shall issue a form to the assessing officials
4 that shall provide for a description of the land developed, the amount of tax
5 payable, and the fair market value of the land at the time of development or
6 withdrawal from use value appraisal. The owner shall fill out the form and
7 shall sign it under the penalty of perjury. After receipt of the completed and
8 signed form, the Commissioner shall furnish the owner with one copy, shall
9 retain one copy, and shall forward one copy to the local assessing officials, one
10 copy to the register of deeds of the municipality in which the land is located,
11 and one copy to the Secretary of Agriculture, Food and Markets if the land is
12 agricultural land and in all other cases to the Commissioner of Forests, Parks
13 and Recreation.

14 * * *

15 Sec. 4. 32 V.S.A. § 3758(b) is amended to read:

16 (b) Any owner who is aggrieved by the determination of the fair market
17 value of classified land for the purpose of computing the land use change tax
18 may appeal in the same manner as an appeal of a grand list valuation under
19 this title, except that the owner shall have 30 days to appeal the determination
20 to the municipality or to the Director as applicable under subsection 3757(c) of
21 this chapter.

~~*** Municipal Grand List Stabilization Program ***~~

Sec. 5. 32 V.S.A. § 3710(c) is amended to read:

(c) Upon notification by the Commissioner of Public Safety, the Commissioner of Taxes shall certify the payment amounts and make an annual payment to each municipality for each eligible property to compensate for the loss of municipal property tax. The payment shall be calculated using the grand list value of the acquired property for the year during which the property was either damaged by flooding or identified as flood-prone by the Commissioner of Public Safety, multiplied by the municipal tax rate, including any submunicipal tax rates, in effect ~~each~~ in the immediately preceding year. This payment shall be made on or before January 1 of each year for five years.

~~*** Communications Property Inventories ***~~

Sec. 6. 32 V.S.A. § 3602b(d)(2) and (3) are amended to read:

(2) On or before March 31 of each year, each communications service provider shall submit to the Division a sworn inventory of all its taxable communications property in a form that identifies the valuation of its property in each municipality. If the communications service provider fails to submit the inventory on or before April 15 and in the form prescribed, the Commissioner may fine the provider not more than \$100.00 for each violation, unless the provider's failure is due to factors beyond the provider's control.

1 ~~(2) The Division shall prescribe the form of the inventory required~~
2 under subdivision (2) of this subsection and the officer or officers who shall
3 submit the sworn inventory. If a communications service provider willfully
4 omits to make, swear to, and submit an inventory, or to answer any
5 interrogatory therein, or makes a false answer or statement therein, then the
6 Division shall ascertain the amount and fair market value of the provider's
7 communications property using the best information available to the Division.
8 In addition to the fine under subdivision (2) of this subsection, the provider
9 shall be barred from any statutory appeal under this chapter or chapter 129 or
10 131 of this title of the value set by the Division under this subdivision.

11 * * * Equalization Study * * *

12 Sec. 7. 32 V.S.A. § 5405(a) is amended to read:

13 (a) Annually, on or before April 1, the Commissioner shall determine the
14 equalized education property tax grand list and coefficient of dispersion for
15 each municipality in the State; provided, however, that for purposes of
16 equalizing grand lists pursuant to this section, the equalized education property
17 tax grand list of a municipality that establishes a tax increment financing
18 district or a housing development site under 24 V.S.A. chapter 53, subchapter
19 7 shall include the fair market value of the property in the district or site and
20 not the original taxable value of the property, and further provided that the
21 unified towns and gores of Essex County may be treated as one municipality

1 ~~for the purpose of determining an equalized education property grand list and a~~
2 coefficient of dispersion, if the Director determines that all such entities have a
3 uniform appraisal schedule and uniform appraisal practices.

4 Sec. 8. 32 V.S.A. § 5406 is amended to read:

5 § 5406. NOTICE OF FAIR MARKET VALUE AND COEFFICIENT OF
6 DISPERSION

7 * * *

8 (c) If the Director of Property Valuation and Review certifies that a
9 municipality has completed a townwide reappraisal, the common level of
10 appraisal for that municipality shall be equal to its new grand list value divided
11 by its most recent equalized grand list value 100 percent, for purposes of
12 determining education property tax rates.

13 * * * Health IT Fund Sunset Extension * * *

14 Sec. 9. 2013 Acts and Resolves No. 73, Sec. 60(10), as amended by 2017
15 Acts and Resolves No. 73, Sec. 14, 2018 Acts and Resolves No. 187, Sec. 5,
16 2019 Acts and Resolves No. 71, Sec. 21, 2021 Acts and Resolves No. 73,
17 Sec. 14, 2023 Acts and Resolves No. 78, Sec. E.306.1, and 2024 Acts and
18 Resolves No. 144, Sec. 11, is further amended to read:

19 (10) Secs. 48–51 (health care claims tax) shall take effect on July 1,
20 2013, and Sec. 52 (Health IT-Fund; sunset) shall take effect on July 1, 2026
21 2031.

1 ~~Sec. 10. 2019 Acts and Resolves No. 6, Sec. 105, as amended by 2019 Acts~~
2 and Resolves No. 71, Sec. 19, 2022 Acts and Resolves No. 83, Sec. 75, 2023
3 Acts and Resolves No. 78, Sec. E.306.2, and 2024 Acts and Resolves No. 144,
4 Sec. 12, is further amended to read:

5 Sec. 105. EFFECTIVE DATES

6 * * *

7 (b) Sec. 73 (further amending 32 V.S.A. § 10402) shall take effect on July
8 1, ~~2026~~ 2031.

9 * * * Inflation Index Updates * * *

10 Sec. 11. 16 V.S.A. § 559(e)(7) is amended to read:

11 (7) Nothing in this section shall require a school board or supervisory
12 union board to invite or advertise for bids if it is renewing a contract entered
13 into pursuant to subsection (a) of this section, provided that:

14 (A) annual costs will not increase more than the most recent New
15 England Economic Project Cumulative Price Index National Income and
16 Product Accounts (NIPA) implicit price deflator, as of November 15, for ~~State~~
17 state and local government purchases of goods and services, consumption
18 expenditures and gross investment published by the U.S. Department of
19 Commerce, Bureau of Economic Analysis;

20 (B) the total amount of the contract does not exceed an increase of 30
21 ~~percent more than the total amount of the original contract,~~ and

1 ~~(C) the contract for the renewal period allows termination by the~~

2 board following an annual review of performance.

3 Sec. 12. 16 V.S.A. § 2959a(d) is amended to read:

4 (d) If the amount of Medicaid reimbursement funds received for services
5 provided in the prior State fiscal year exceeds \$25,000,000.00, in addition to
6 the 50 percent of the funds paid to supervisory unions submitting Medicaid
7 bills, 25 percent of the amounts in excess of the \$25,000,000.00 shall be paid
8 into an incentive fund created in the Agency of Education. These funds shall
9 be used for an incentive payment to supervisory unions with student
10 participation rates of over 80 percent in accordance with a formula to be
11 developed by the Agency, in consultation with the Vermont Superintendents
12 Association. For any incentive payments made subsequent to fiscal year 2007,
13 the \$25,000,000.00 threshold of this subsection shall be increased by the
14 percentage increase of the most recent ~~New England Economic Project~~
15 ~~Cumulative Price Index~~ National Income and Product Accounts (NIPA)
16 implicit price deflator, as of November 15, for state and local government
17 ~~purchases of goods and services~~ consumption expenditures and gross
18 investment published by the U.S. Department of Commerce, Bureau of
19 Economic Analysis, from fiscal year 2005 through the fiscal year for which
20 ~~the payment is being determined, plus an additional one-tenth of one percent.~~

1 ~~Sec. 13. 16 V.S.A. § 4011(b) is amended to read:~~

2 (b) For each fiscal year, the base education amount shall be \$6,800.00,
3 increased by the most recent ~~New England Economic Project Cumulative Price~~
4 Index National Income and Product Accounts (NIPA) implicit price deflator,
5 as of November 15, for state and local government ~~purchases of goods and~~
6 services consumption expenditures and gross investment published by the U.S.
7 Department of Commerce, Bureau of Economic Analysis, from fiscal year
8 2005 through the fiscal year for which the amount is being determined, plus an
9 additional one-tenth of one percent.

10 Sec. 14. 32 V.S.A. § 5401(12)(B) is amended to read:

11 (B) In excess of 118 percent of the statewide average district per
12 pupil education spending increased by inflation, as determined by the
13 Secretary of Education on or before November 15 of each year based on the
14 passed budgets to date. As used in this subdivision, "increased by inflation"
15 means increasing the statewide average district per pupil education spending
16 for fiscal year 2025 by the most recent ~~New England Economic Project~~
17 cumulative price index National Income and Product Accounts (NIPA) implicit
18 price deflator, as of November 15, for state and local government ~~purchases of~~
19 goods and services consumption expenditures and gross investment published
20 by the U.S. Department of Commerce, Bureau of Economic Analysis, from

1 ~~fiscal year 2025 through the fiscal year for which the amount is being~~
2 ~~determined.~~

3 * * * Homestead Declaration and Property Tax Credit * * *

4 Sec. 15. 32 V.S.A. § 6062(c) is amended to read:

5 (c) When a homestead is owned by two or more persons as joint tenants,
6 tenants by the entirety, or tenants in common and one or more of these persons
7 are not members of the claimant's household, the property tax is the same
8 proportion of the property tax levied on that homestead as the proportion of
9 ownership of the homestead by the claimant and members of the claimant's
10 household; provided, however, that:

11 * *

12 (3) the property tax of a claimant who is a joint tenant with a former
13 spouse and who has possession of the homestead pursuant to the joint owners'
14 final divorce decree is the property tax for which the claimant is responsible
15 under the joint owners' final divorce decree or any modifying orders; and

16 (4) if the homestead is a portion of a duplex and all owners of the
17 duplex occupy some portion of the building as their principal residence, the
18 property tax of the claimant shall be that percentage of the total property tax
19 equal to the ratio of the claimant's principal residence value to the total duplex
20 ~~building value, and~~

1 ~~(5) the property tax of a claimant who is a joint tenant or tenant by the~~
2 entirety with a spouse who is not a member of the household, and who is party
3 to a divorce or separation proceeding in a court of law, shall be 100 percent of
4 the property tax.

5 * * * Estate Tax * * *

6 Sec. 16. 32 V.S.A. § 7444(a) is amended to read:

7 (a) An executor shall submit a Vermont estate tax return to the
8 Commissioner, on a form prescribed by the Commissioner, when a decedent
9 has an interest in property with a situs in Vermont and one or both of the
10 following apply:

11 (1) a federal estate tax return is required to be filed under 26 U.S.C.
12 § 6018; or

13 (2) the sum of the federal gross estate and federal adjusted taxable gifts,
14 as defined in 26 U.S.C. § 2001(b), made within two years of the date of the
15 decedent's death exceeds ~~\$2,750,000.00~~ \$5,000,000.00.

16 Sec. 17. 32 V.S.A. § 5930u(h) is amended to read:

17 (h) Credit allocation; Down Payment Assistance Program.

18 (1) In fiscal year 2016 through fiscal year 2019, the allocating agency
19 may award up to \$125,000.00 in total first-year credit allocations for loans
20 through the Down Payment Assistance Program created in subdivision (b)(2)
21 ~~of this section.~~

1 ~~(2) In fiscal year 2020 through fiscal year 2026, the allocating agency~~
2 may award up to \$250,000.00 in total first-year credit allocations for loans
3 through the Down Payment Assistance Program created in subdivision (b)(3)
4 of this section.

5 (3) In fiscal year 2027 through fiscal year 2031, the allocating agency
6 may award up to \$250,000.00 in total first-year credit allocations for loans
7 through the Down Payment Assistance Program created in subdivision (b)(3)
8 of this section.

9 * * * Federal Tax Credit for SGO Contributions * * *

10 Sec. 18. FINDINGS

11 The General Assembly finds:

12 (1) Section 25F of the Internal Revenue Code creates a new federal
13 program to subsidize scholarships for expenses at public and private schools.

14 (2) Under the terms of the statute, states may voluntarily elect to
15 participate in the program, or they may decline to participate.

16 (3) The decision concerning whether or not to participate in the program
17 is to be made by “the Governor of the State or by such other individual,
18 agency, or entity as is designated under State law to make such elections on
19 behalf of the State with respect to Federal tax benefits.”

20 ~~Sec. 19, 2 V.S.A. § 24 is added to read:~~

21 ~~§ 24. FISCAL YEAR 2020 THROUGH FISCAL YEAR 2026, THE ALLOCATING AGENCY~~

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2
3
4
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6
7

~~CREDIT PROGRAM~~
~~(a) In accordance with 26 U.S.C. § 25F(g)(1)(B), the General Assembly designates itself as the sole entity to make an election under 26 U.S.C. § 25F.~~
~~(b) Vermont shall not participate in the federal tax credit program for contributions to scholarship granting organizations under 26 U.S.C. § 25F.~~
~~(c) Any election to the contrary made by another State official or entity is void and shall have no effect.~~

Sec. 19. 2 V.S.A. § 24 is added to read:

§ 24. SCHOLARSHIP GRANTING ORGANIZATIONS

(a) Annually, the General Assembly may elect to participate in the federal tax credit program under 26 U.S.C. § 25F in the following year by enactment of an act.

(b) A legislative enactment made under this section shall identify all qualifying scholarship granting organizations to be listed pursuant to 26 U.S.C. § 25F for the following year. The enactment made pursuant to this section shall specify the individual or entity responsible for providing the list of organizations to the U.S. Secretary of Treasury pursuant to 26 U.S.C. § 25F(g).

(c) Any election made under 26 U.S.C. § 25F by another State official or entity is void and shall have no effect.

* * * Definition of Parcel * * *

Sec. 20. 32 V.S.A. § 4152(a)(3) is amended to read:

(3) A brief description of each parcel of taxable real estate in the town.

“Parcel” means all contiguous land in the same ownership, together with all improvements thereon, except for purposes of mapping and per parcel payments under subsections 4041a(a) and 5405(f) of this title, for which “parcel” means a separate and sellable lot or piece of real estate.

* * *

* * * Department of Fish and Wildlife Fee Setting * * *

Sec. 21. 10 V.S.A. § 4132 is amended to read:

§ 4132. GENERAL DUTIES OF COMMISSIONER

(a) The Commissioner shall have charge of the enforcement of the provisions of this part.

* * *

~~(e)(1) The Commissioner, subject to the direction and approval of the Secretary, shall adopt and publish rules in the name of the Agency for reasonable fees or charges for the use of the lands, roads, buildings, other property, and the use of and tuition for the Green Mountain Conservation Camps, notwithstanding 32 V.S.A. § 603. Fees collected for the use of fish and wildlife lands and properties shall be deposited in the Fish and Wildlife Fund~~

1 ~~Notwithstanding 32 V.S.A. § 603 and with the approval of the Secretary, the~~

2 Commissioner may:

3 (A) issue licenses for the long-term use of Department of Fish and
4 Wildlife lands for research, academic study, commercial use, or use by
5 regulated utilities; and

6 (B) set the tuition for the Green Mountain Conservation Camps.

7 (2) The Commissioner shall adopt by rule the fees to be charged for
8 licenses and tuition authorized under this subsection. The Commissioner is
9 prohibited from adopting by rule a requirement that an individual possess a
10 license or permit in order to access lands owned or controlled by the
11 Department of Fish and Wildlife.

12 (3) Fees collected for the use of fish and wildlife lands and properties
13 under this subsection shall be deposited in the Fish and Wildlife Fund.

14 (4) As used in this subsection, "license" means a written instrument
15 issued by the Commissioner that authorizes research, academic study,
16 commercial use, or use by regulated utilities on Department lands but does not
17 vest the licensee with any property rights.

18 * * *

19 Sec. 22. REPEAL; COMMISSIONER OF FISH AND WILDLIFE RULE ON
20 FEES FOR THE USE OF FISH AND WILDLIFE DEPARTMENT
21 ~~LANDS AND FACILITIES~~

~~Commissioner of Fish and Wildlife Rule 2008-01, CVP 12-010-075, Fees~~
for the Use of Fish and Wildlife Department Lands and Facilities, is repealed.

Sec. 23. DEPARTMENT OF FISH AND WILDLIFE REPORT ON FEES

On or before January 15, 2027, the Commissioner of Fish and Wildlife shall
submit to the House Committee on Ways and Means and the Senate
Committee on Finance recommended fees to be charged for the use of the
lands, roads, buildings, or other property owned or controlled by the
Department of Fish and Wildlife so that the General Assembly, consistent with
the requirements of 32 V.S.A. § 603, shall establish the fees by statute for the
service or product provided or regulatory function performed.

* * * Grand List Assessment Date * * *

Sec. 24. 24 V.S.A. § 1892(b) is amended to read:

(b) When adopted by the act of the legislative body of that municipality,
the plan shall be recorded with the municipal clerk and lister or assessor, and
the creation of the district shall occur at 12:01 a.m. on ~~April~~ January 1 of the
calendar year so voted by the municipal legislative body.

Sec. 25. 24 V.S.A. § 1904(b)(2) is amended to read:

(2) When adopted by the act of the legislative body of that municipality,
the plan shall be recorded with the municipal clerk and lister or assessor, and
the creation of the district shall occur at 12:01 a.m. on ~~April~~ January 1 of the
calendar year so voted by the municipal legislative body.

1 ~~Sec. 26. 32 V.S.A. § 3481(1)(B)(iv) is amended to read:~~

2 (iv) a capitalization rate that is typical for the geographic area
3 determined and published annually prior to ~~April~~ January 1 by the Division of
4 Property Valuation and Review after consultation with the Vermont Housing
5 Finance Agency.

6 Sec. 27. 32 V.S.A. § 3482 is amended to read:

7 § 3482. PROPERTY LISTED AT ONE PERCENT

8 Except as otherwise provided, all real and personal estate shall be set in the
9 list at one percent of its listed value on ~~April~~ January 1, of the year of its
10 appraisal.

11 Sec. 28. 32 V.S.A. § 3485 is amended to read:

12 § 3485. RECORDS TO BE KEPT RELATING TO DEEDS AND
13 MORTGAGES

14 (a) Annually on ~~April~~ January 1, ~~town~~ municipal clerks shall furnish the
15 listers with copies of the property tax returns filed by the clerk under section
16 9610 of this title relating to deeds that were filed for record during the year
17 ending on the first day of such month. However, upon request in writing by
18 the listers, on or before the 15th day of each month, ~~town~~ municipal clerks
19 shall furnish the listers with copies of the property transfer tax returns to deeds
20 ~~that were filed for record during the next preceding calendar month.~~

1 ~~(b) Failure on the part of the town municipal clerk to furnish the copies~~
2 required under subsection (a) of this section shall not render the town liable in
3 damages to any person. A town municipal clerk who willfully fails to furnish
4 the copies required under subsection (a) of this section shall be fined \$10.00
5 for each offense.

6 Sec. 29. 32 V.S.A. § 3603(a) is amended to read:

7 (a) Construction equipment and other personal estate used in the
8 construction or repair of highways, dams, reservoirs, public utilities, or
9 buildings shall be listed and taxed on the same basis as other personal estate in
10 the town in which it is located on ~~April~~ January 1. Such equipment brought
11 into the State after ~~April~~ January 1 and prior to December 15 of any year shall
12 be taxed as other personal estate for that year in the town in which it is first
13 used for a normal full work shift. The owner or person in charge of any
14 equipment enumerated in this section shall, upon request of the Treasurer or
15 tax collector of any municipality, present evidence that it has been listed for
16 tax purposes in a municipality in this State. The Transportation Board and
17 other State agencies shall insert in all contracts for construction a term by
18 which the contractor agrees to pay taxes assessed under this section and section
19 ~~4151 of this title.~~

1 ~~Sec. 30. 32 V.S.A. § 3610(h) is amended to read:~~

2 (b) The listers of each town and the appraisers of each unorganized town
3 and gone shall list every perpetual lease in a separate record in which shall be
4 shown as to each lease a brief description of the leased land, the fair market
5 value of the land as appraised by them, the name of the lessor, the annual
6 rental payable under the lease, and as of ~~April~~ January 1 of each year the name
7 and address of the lessee. If for any reason the lease is exempt under
8 subsection (d) of this section, the reason for the exemption shall be noted.

9 Sec. 31. 32 V.S.A. § 3618(c)(2) is amended to read:

10 (2) "Net book value" of property means the cost less depreciation of the
11 property as shown on the federal income tax return required to be filed with
12 the federal authorities on or nearest in advance of ~~April~~ January 1 in any year.

13 Sec. 32. 32 V.S.A. § 3651 is amended to read:

14 § 3651. GENERAL RULE

15 Taxable real estate shall be set in the list to the last owner or possessor
16 thereof on ~~April~~ January 1 in each year in the town, village, school, and fire
17 district where it is situated.

18 Sec. 33. 32 V.S.A. § 3691 is amended to read:

19 § 3691. GENERAL RULE

20 Taxable tangible personal estate shall be set in the list to the last owner

21 ~~thereof on April January 1 in each year, in the town, village, school, and fire~~

1 ~~district where such property is situated, with the exception that such personal~~
2 estate situated within this State owned by persons residing outside the State or
3 by persons unknown to the listers shall be set in the list to the person having
4 the same in charge, in the town, village, school, and fire district where the
5 same is situated and shall be holden for all taxes assessed on such list.

6 However, tangible personal estate owned by nonresident persons or
7 corporation, and used in this State by the State or a department or institution
8 thereof, under lease, contract or other agreement, written or oral, may be set in
9 the list in the town where so used to such nonresident owner.

10 Sec. 34. 32 V.S.A. § 3692(b) is amended to read:

11 (b) A trailer coach shall be taxed as real property by the town in which it is
12 located notwithstanding subsection (a) of this section if it is situated in the
13 town on the same trailer site or camp site for more than 180 days during the
14 365 days prior to ~~April~~ January 1. A trailer coach shall not be taxed as real
15 property if it is stored on property on which the owner resides in another
16 dwelling as a permanent residence.

17 Sec. 35. 32 V.S.A. § 3708 is amended to read:

18 § 3708. PAYMENTS IN LIEU OF TAXES FOR LANDS HELD BY THE
19 AGENCY OF NATURAL RESOURCES

20

1 ~~(b) The State shall annually pay on or before October 31 to each~~
2 municipality a payment in lieu of taxes (PILOT) that shall be the base payment
3 as set forth under this section, for all ANR land, excluding buildings or other
4 improvements thereon, as of ~~April~~ January 1 of the current year.

5 (c) The State shall establish the base payment for all ANR land, excluding
6 buildings or other improvements thereon, as follows;

7 (1) ~~On~~ on parcels acquired before April 1, 2016, 0.60 percent of the fair
8 market value as appraised by the Director of Property Valuation and Review as
9 of April 1 of fiscal year 2015;

10 (2) ~~On~~ on parcels acquired on or after April 1, 2016, the municipal tax
11 rate of the fair market value as assessed on ~~April~~ January 1 in the year of
12 acquisition by the municipality in which it is located.

13 * * *

14 Sec. 36. 32 V.S.A. § 3755(b) is amended to read:

15 (b) Managed forestland shall be eligible for use value appraisal under this
16 chapter only if:

17 (1) The land is subject to a forest management plan, subject to a
18 conservation management plan in the case of lands certified under 10 V.S.A.
19 § 6306(b), that is filed in the manner and form required by the Department of
20 Forests, Parks and Recreation and that:

1 ~~(D) Provides for continued conservation management, reserve~~
2 forestland management, or forest crop production on the parcel for 10 years.
3 An initial forest management plan or conservation management plan must be
4 filed with the Department of Forests, Parks and Recreation on or before
5 October 1 and shall be effective for a 10-year period beginning the following
6 ~~April~~ January 1. Prior to expiration of a 10-year plan and on or before ~~April~~
7 January 1 of the year in which the plan expires, the owner shall file a new
8 conservation or forest management plan for the next succeeding 10 years to
9 remain in the program.

10 * * *

11 (2) A management report of whatever activity has occurred, signed by
12 the owner, has been filed with the Department of Taxes' Director of Property
13 Valuation and Review on or before February 1 of the year following the year
14 when the management activity occurred.

15 (3) There has not been filed with the Director an adverse inspection
16 report by the Department stating that the management of the tract is contrary
17 to the forest management plan, conservation management plan, or contrary to
18 the minimum acceptable standards for forest or conservation management.
19 The management activity report shall be on a form prescribed by the
20 Commissioner of Forests, Parks and Recreation in consultation with the
21 ~~Commissioner of Taxes and shall be signed by all the owners and shall contain~~

1 ~~the tax identification numbers of all the owners. All information contained~~
2 within the management activity report shall be forwarded to the Department of
3 Forests, Parks and Recreation, except for any tax identification number
4 included in the report. If any owner satisfies the Department that ~~he or she~~ the
5 owner was prevented by accident, mistake, or misfortune from filing an initial
6 or revised management plan that is required to be filed on or before October 1,
7 or a management plan update that is required to be filed on or before ~~April~~
8 January 1 of the year in which the plan expires, or a management activity
9 report that is required to be filed on or before February 1 of the year following
10 the year when the management activity occurred, the owner may submit that
11 management plan or management activity report at a later date; provided,
12 however, no initial or revised management plan shall be received later than
13 December 31, and no management plan update shall be received later than one
14 year after ~~April~~ January 1 of the year the plan expires, and no management
15 activity report shall be received later than March 1.

16 Sec. 37. 32 V.S.A. § 3802a is amended to read:

17 § 3802a. REQUIREMENT TO PROVIDE INSURANCE INFORMATION

18 Before ~~April~~ January 1 of each year, owners of property exempt from
19 taxation under subdivisions 3802(4), (6), (9), (12), and (15) and under
20 subdivisions 5401(10)(D), (F), (G), and (J) of this title shall provide their local
21 ~~assessing officials with information regarding the insurance replacement cost~~

1 ~~of the exempt property or with a written explanation of why the property is not~~
2 insured.

3 Sec. 38. 32 V.S.A. § 3850(d) is amended to read:

4 (d) If a dwelling unit is certified as blighted under subsection (b) of this
5 section, the exemption shall take effect on the ~~April~~ January 1 following the
6 certification of the dwelling unit.

7 Sec. 39. 32 V.S.A. § 4001(a) is amended to read:

8 (a) Annually on ~~April~~ January 1, at the expense of the State, the Director
9 shall furnish to the several ~~town~~ municipal clerks and boards of appraisers for
10 unorganized towns and gores inventory forms sufficient in number to meet the
11 requirements of this chapter. Such forms shall be formulated by the Director
12 and, among other things, shall contain suitable interrogatories requiring each
13 taxpayer to furnish therein a brief statement of all of each taxpayer's taxable
14 property, real and personal, and such other information, including income and
15 expense information with respect to any income-producing properties, as will
16 enable the listers or appraisers to appraise such part thereof as is required by
17 law to be by them appraised, and to make up the abstract of individual lists and
18 ~~grand list in the manner prescribed by law.~~

1 ~~Sec. 40. 32 V.S.A. § 4004 is amended to read:~~

2 § 4004. RETURN OF INVENTORIES BY INDIVIDUALS

3 On or before ~~April~~ January 20, unless otherwise required, every taxable
4 person shall procure such inventory form, make full answers to all
5 interrogatories therein, subscribe the same, make oath thereto, and deliver or
6 forward the same to one of the listers in the town wherein such person owns or
7 possesses property required by law to be set to ~~him or her~~ the person in the
8 grand list. When notice in writing to file, deliver, or forward such inventory
9 on or before a given date is delivered by one of the listers to a person, or
10 mailed postage prepaid to ~~him or her~~ the person at ~~his or her~~ the person's last
11 known post office address, such person, within the time therein specified, shall
12 properly fill out such inventory and deliver or forward the same to one of the
13 listers, notwithstanding ~~he or she~~ the person may not own or possess property
14 subject to taxation. Persons taxable only for real estate shall not be required to
15 file such inventory unless notified so to do as herein provided.

16 Sec. 41. 32 V.S.A. § 4041 is amended to read:

17 § 4041. EXAMINATION OF PROPERTY; APPRAISAL

18 On ~~April~~ January 1, the listers and assessors shall proceed to take up such
19 inventories and make such personal examination of the property that they are
20 required to appraise as will enable them to appraise it at its fair market value.

21 ~~When a board of listers is of the opinion that expert advice or assistance is~~

1 ~~needed in making any appraisal required by law, it may, with approval of~~
2 ~~selectboard the legislative body of the municipality or by vote of the town~~
3 ~~municipality, employ such assistance.~~

4 Sec. 42. 32 V.S.A. § 4044 is amended to read:

5 § 4044. APPRAISAL OF PERSONALTY ON ~~APRIL~~ JANUARY 1

6 Unless otherwise provided, the taxable personal estate contained in the
7 inventory shall be appraised by the listers at its fair market value on ~~April~~
8 January 1.

9 Sec. 43. 32 V.S.A. § 4045 is amended to read:

10 § 4045. APPRAISAL ON OTHER THAN ~~APRIL~~ JANUARY 1

11 If any business is normally operated for a period less than 12 consecutive
12 months and is not in operation on ~~April~~ January 1, an inventory shall be filed
13 with the listers at least 15 days prior to the anticipated annual suspension of
14 such business and the stock in trade shall be appraised for the period of
15 operation so as to represent an average of values of such property during that
16 period in which the business has been carried on.

17 Sec. 44. 32 V.S.A. § 4605 is amended to read:

18 § 4605. ASSESSMENT WHEN APPRAISAL ON OTHER THAN ~~APRIL~~
19 JANUARY 1

20

1 ~~Sec. 45. 32 V.S.A. § 5401(7) is amended to read:~~

2 (7) "Homestead":

3 (A) "Homestead" means the principal dwelling and parcel of land
4 surrounding the dwelling, owned and occupied by a resident individual as the
5 individual's domicile or owned and fully leased on ~~April~~ January 1, provided
6 the property is not leased for more than 182 days out of the calendar year or,
7 for purposes of the renter credit under subsection 6066(b) of this title, is rented
8 and occupied by a resident individual as the individual's domicile.

9 * * *

10 (G) For purposes of homestead declaration and application of the
11 homestead property tax rate, "homestead" also means a residence that was the
12 homestead of the decedent at the date of death and, from the date of death
13 through the next ~~April~~ January 1, is held by the estate of the decedent and not
14 rented.

15 * * *

16 Sec. 46. 32 V.S.A. § 5404a(a)(6) is amended to read:

17 (6) An exemption of a portion of the value of a qualified rental unit
18 parcel. An owner of a qualified rental unit parcel shall be entitled to an
19 exemption on the education property tax grand list of 10 percent of the grand
20 list value of the parcel, multiplied by the ratio of square footage of
21 ~~improvements used for or related to residential rental purposes to total square~~

1 ~~footage of all improvements, multiplied by the ratio of qualified rental units to~~
2 total residential rental units on the parcel. "Qualified rental units" means
3 residential rental units that are subject to rent restriction under provisions of
4 State or federal law but excluding units subject to rent restrictions under only
5 one of the following programs: Section 8 moderate rehabilitation, Section 8
6 housing choice vouchers, or Section 236 or Section 515 rural development
7 rental housing. A municipality shall allow the percentage exemption under
8 this subsection upon presentation by the taxpayer to the municipality, by April
9 January 1, of a certificate of education grand list value exemption obtained
10 from the Vermont Housing Finance Agency (VHFA). VHFA shall issue a
11 certificate of exemption upon presentation by the taxpayer of information that
12 VHFA and the Commissioner shall require. A certificate of exemption issued
13 by VHFA under this subsection shall expire upon transfer of the building, upon
14 expiration of the rent restriction, or after 10 years, whichever first occurs;
15 provided, however, that the certificate of exemption may be renewed after 10
16 years and every 10 years thereafter if VHFA finds that the property continues
17 to meet the requirements of this subsection.

18 Sec. 47. 32 V.S.A. § 5405 is amended to read:

19 § 5405. DETERMINATION OF EQUALIZED EDUCATION PROPERTY

20 ~~TAX GRAND LIST AND COEFFICIENT OF DISPERSION~~

1 ~~(a) Annually, on or before April 1, the Commissioner shall determine the~~
2 equalized education property tax grand list and coefficient of dispersion for
3 each municipality in the State; provided, however, that for purposes of
4 equalizing grand lists pursuant to this section, the equalized education property
5 tax grand list of a municipality that establishes a tax increment financing
6 district shall include the fair market value of the property in the district and not
7 the original taxable value of the property, and further provided that the unified
8 towns and gores of Essex County may be treated as one municipality for the
9 purpose of determining an equalized education property grand list and a
10 coefficient of dispersion, if the Director determines that all such entities have a
11 uniform appraisal schedule and uniform appraisal practices.

12 * * *

13 (c) In determining the fair market value of property that is required to be
14 listed at fair market value, the Commissioner shall take into consideration
15 those factors required by section 3481 of this title. The Commissioner shall
16 value property as of ~~April~~ January 1 preceding the determination and shall take
17 account of all homestead declaration information available before October 1
18 each year.

19 * * *

20 Sec. 48. 32 V.S.A. § 5410 is amended to read:

21 ~~§ 5410. DECLARATION OF HOMESTEAD~~

1 ~~(a) A homestead owner shall declare ownership of a homestead for~~
2 ~~purposes of education property tax.~~

3 ~~(b) Annually, on or before the due date for filing the Vermont income tax~~
4 ~~return, without extension, each homestead owner shall, on a form prescribed~~
5 ~~by the Commissioner, which shall be verified under the pains and penalties of~~
6 ~~perjury, declare the owner's homestead, if any, as of, or expected to be as of,~~
7 ~~April January 1 of the year in which the declaration is made.~~

8 * * *

9 ~~(d) The Commissioner shall provide a list of homesteads in each town to~~
10 ~~the town municipal listers and assessors by May 15. The listers and assessors~~
11 ~~shall notify the Commissioner by June 1 of any residences on the~~
12 ~~Commissioner's list that do not qualify as homesteads. The listers and~~
13 ~~assessors shall separately identify homesteads in the grand list.~~

14 * * *

15 * * * Municipal Tax Collection; State Oversight * * *

16 Sec. 49. 32 V.S.A. chapter 133, subchapter 9 is amended to read:

17 Subchapter 9. Delinquent Taxes

18 § 5131. ~~SUPERVISION BY DIRECTOR~~

19 ~~The Director shall supervise the collection of delinquent taxes by officials~~
20 ~~of towns and other municipal corporations. [Repealed.]~~

21 ~~§ 5132. CONFERENCES, BULLETINS, FORMS~~

1 ~~The Director may examine a tax list in the hands of a collector; shall confer~~
2 ~~from time to time with collectors, advise them concerning their official duties,~~
3 ~~and furnish them printed instructions and directions relating thereto; shall issue~~
4 ~~such bulletins as in the Director's judgment will aid in enforcing the law; and~~
5 ~~shall formulate and furnish the necessary forms for the use of officials required~~
6 ~~to make returns to the Director. [Repealed.]~~

7 § 5133. MEETINGS OF TAX COLLECTORS

8 ~~The Director shall call meetings of collectors of taxes to be held at such~~
9 ~~places and at such times as he or she shall designate for the purpose of~~
10 ~~instruction as to the law governing their official duties and concerning the~~
11 ~~collection of delinquent taxes. [Repealed.]~~

12 § 5134. FAILURE TO ATTEND MEETINGS; COMPENSATION

13 ~~Collectors shall attend all meetings for instruction to which they are~~
14 ~~summoned in writing by the Director. When a collector is unable to attend, he~~
15 ~~or she shall notify forthwith the Director stating the cause of such inability~~
16 ~~and, in his or her discretion, the Director may summon such collector to attend~~
17 ~~such other meeting as he or she may designate. Collectors attending such~~
18 ~~meetings shall receive therefor from the treasury of their municipality not less~~
19 ~~than \$10.00 per day and their necessary expenses. [Repealed.]~~

20 § 5135. RETURNS TO DIRECTOR

1 ~~Collectors and other officials named in this chapter shall render such~~
2 ~~assistance, furnish such information, and make such returns to the Director in~~
3 ~~relation to the subject of delinquent taxes and the administration of the law in~~
4 ~~reference thereto as he or she may require. [Repealed.]~~

5 * * *

6 ~~PILOT Special Fund~~

7 Sec. 30. 32 V.S.A. § 3436(e) is amended to read:

8 (e) A sum not to exceed \$100,000.00 each year shall be paid from the
9 ~~Education Fund~~ PILOT Special Fund to the Division of Property Valuation
10 and Review for the purpose of providing assessment education for municipal
11 listers and assessors. The Director is authorized to establish guidelines and
12 requirements for education programs to be provided using the funds described
13 in this section. Education programs provided using funds described in this
14 section shall be provided at no cost or minimal cost to the municipal listers and
15 assessors. In addition to providing the annual education programs described in
16 this section, up to 20 percent of the amount available for education programs
17 may be reserved as a scholarship fund to permit municipal listers and assessors
18 to attend national programs providing education opportunities on advanced
19 assessment topics. All applications for scholarships shall be submitted to and
20 ~~approved by the Director.~~

~~Sec. 51. 32 V.S.A. § 2700(-) is amended to read:~~

(c) There is hereby established a PILOT Special Fund consisting of local option tax revenues paid to the State Treasurer pursuant to 24 V.S.A. § 138. This Fund shall be managed by the Commissioner of Taxes pursuant to chapter 7, subchapter 5 of this title. Notwithstanding subdivision 588(3) of this title, all interest earned on the Fund shall be retained in the Fund for use in meeting future obligations. The Fund shall be exclusively for payments required under sections 3435, 4041a, and 5405 of this title, chapter 123, subchapters 4 and 4C of this title, and for any additional State payments in lieu of taxes for correctional facilities. The Commissioner of Finance and Management may draw warrants for disbursements from this Fund in anticipation of receipts.

Sec. 52. 32 V.S.A. § 4041a is amended to read:

§ 4041a. REAPPRAISAL

(a) A municipality shall be paid \$8.50 per grand list parcel per year from the ~~General~~ PILOT Special Fund to be used only for reappraisal and costs related to reappraisal of its grand list properties and for maintenance of the grand list.

Sec. 53. 32 V.S.A. § 5405 is amended to read:

§ 5405. DETERMINATION OF EQUALIZED EDUCATION PROPERTY

~~TAX GRAND LIST AND COEFFICIENT OF DISPERSION~~

(f) Within the limits of the resources available for that purpose, the Commissioner may employ such individuals, whether on a permanent, temporary, or contractual basis, as shall be necessary, in the judgment of the Commissioner, to aid in the performance of duties under this section. The Commissioner shall pay from the PILOT Special Fund to each municipality the sum of \$1.00 per grand list parcel in the municipality for services provided to the Commissioner in connection with the performance of duties under this section. Each municipality shall deposit payments received under this subsection into a special fund that shall be used to support the preparation of the education property tax grand list.

Sec. 50. [Deleted.]

Sec. 51. [Deleted.]

Sec. 52. [Deleted.]

Sec. 53. [Deleted.]

* * * 10-Year Tax Study * * *

Sec. 54. VERMONT 10-YEAR TAX STUDY

(a) The Joint Fiscal Office, with assistance from the Office of Legislative Counsel, and under the direction of the Joint Fiscal Committee, shall conduct a decennial study of Vermont State taxes.

1 ~~(b) In conducting the study, the Joint Fiscal Office shall:~~

2 ~~(1) Starting with 2015, analyze historical trends comparing Vermont~~
3 ~~taxes to the tax systems of other states, including a comparison of the~~
4 ~~percentage of Vermont revenue from each State-level source to the percentage~~
5 ~~of revenue from each state-level source in other states.~~

6 ~~(2) Analyze Vermont's taxation levels and tax responsibilities per capita,~~
7 ~~per income level, and by incidence on typical Vermont families of varying~~
8 ~~incomes, and on typical Vermont business enterprises of varying sizes and~~
9 ~~types, and analyze trends in the taxpayer revenue bases for various tax types.~~

10 ~~(3) Analyze and identify any issues or trends relating to tax flight, tax~~
11 ~~avoidance, and gaps in enforcement.~~

12 ~~(4) Recommend areas for further research and analysis, including ways~~
13 ~~to further research the topics of wealth and income in Vermont's aging~~
14 ~~demographic.~~

15 ~~(c) Based upon the information resulting from the study in subsection (b)~~
16 ~~of this section, the Joint Fiscal Office shall, as part of the study or separately,~~
17 ~~review income eligibility criteria for various tax provisions and benefit~~
18 ~~programs to assess where potential gaps in eligibility or benefits cliffs may~~
19 ~~exist under Vermont's existing tax laws.~~

20 ~~(d) For purposes of the study conducted under this section, the Department~~
21 ~~of Taxes shall provide assistance as requested by the Joint Fiscal Office.~~

1 ~~(e) In fiscal year 2027, \$100,000.00 is appropriated from the General Fund~~
2 ~~to the Joint Fiscal Office for consultant assistance, data analysis, and other~~
3 ~~expenses related to the study conducted under this section. The duty to~~
4 ~~implement this Sec. 54 of this act is contingent upon an appropriation of funds~~
5 ~~in fiscal year 2027 from the General Fund to the Joint Fiscal Office for the~~
6 ~~specific purposes described in this section.~~

7 (f) The Joint Fiscal Office shall submit the Vermont 10-year tax study to
8 the House Committee on Ways and Means and the Senate Committee on
9 Finance on or before January 15, 2027.

10 * * * Link-Up and Decoupling from Federal Income Tax Laws * * *

11 Sec. 55. 32 V.S.A. § 5811 is amended to read:

12 § 5811. DEFINITIONS

13 As used in this chapter unless the context requires otherwise:

14 * * *

15 (18) “Vermont net income” means, for any taxable year and for any
16 corporate taxpayer:

17 (A) the taxable income of the taxpayer for that taxable year under the
18 laws of the United States, without regard to 26 U.S.C. § 168(k), and excluding
19 income that under the laws of the United States is exempt from taxation by the
20 states:

21 ~~(i) increased by.~~

1 ~~(I) the amount of any deduction for State and local taxes on or~~
2 measured by income, franchise taxes measured by net income, franchise taxes
3 for the privilege of doing business and capital stock taxes; and

4 (II) to the extent such income is exempted from taxation under
5 the laws of the United States by, the amount received by the taxpayer on and
6 after January 1, 1986, as interest income from state and local obligations, other
7 than obligations of Vermont and its political subdivisions, and any dividends or
8 other distributions from any fund to the extent such dividend or distribution is
9 attributable to such Vermont State or local obligations;

10 (III) the amount of any deduction for a federal net operating
11 loss; and

12 (IV) an amount equal to the bonus depreciation deduction
13 taken on the taxpayer's federal income tax return for the taxable year under
14 Section 168(k) or (n) of the Internal Revenue Code;

15 (V) for any taxpayer that does not qualify as an eligible
16 taxpayer, an amount equal to any deduction taken on the taxpayer's federal
17 income tax return for the taxable year under 26 U.S.C. § 174A. For purposes
18 of this subdivision (V), the term "eligible taxpayer" means any taxpayer (other
19 than a tax shelter prohibited from using the cash receipts and disbursements
20 method of accounting under 26 U.S.C. § 448(a)(3)) that meets the gross
21 receipts test of 26 U.S.C. § 448(c) for the taxable year, and

1 ~~(VI) an amount equal to the amount of income deducted under~~
2 Section 250 of the Internal Revenue Code for the taxable year to the extent
3 deducted from net income; and
4 (ii) decreased by:
5 (I) the “gross-up of dividends” required by the federal Internal
6 Revenue Code to be taken into taxable income in connection with the
7 taxpayer’s election of the foreign tax credit;
8 (II) the amount of income that results from the required
9 reduction in salaries and wages expense for corporations claiming the Targeted
10 Job or WIN credits; and
11 (III) any federal deduction or credit that the taxpayer would
12 have been allowed for the cultivation, testing, processing, or sale of cannabis
13 or cannabis products as authorized under 7 V.S.A. chapter 33 or 37, but for 26
14 U.S.C. § 280E;
15 (IV) for the taxable year in which the bonus depreciation
16 deduction is taken on the taxpayer’s federal income tax return under Section
17 168(k) or (n) of the Internal Revenue Code and for each applicable taxable
18 year thereafter, an amount equal to the depreciation deduction that would be
19 allowed on that property if the taxpayer had made the election under Section
20 168(k)(7) or (n)(6) of the Internal Revenue Code to not claim depreciation on
21 that property. In the taxable year that property is sold or otherwise disposed

1 ~~of an additional deduction shall be allowed to the extent the amount of~~
2 depreciation claimed under Section 168(k) or (n) of the Internal Revenue Code
3 on that property has not been recovered through the additional deductions
4 provided under this subdivision (18). The aggregate amount deducted under
5 this subdivision (18)(A)(ii)(IV) in all taxable years for any one piece of
6 property shall not exceed the amount of the bonus depreciation deduction
7 taken on that property on the taxpayer's federal income tax return under
8 Section 168(k) or (n) of the Internal Revenue Code, or exceed the amount of
9 the additional modifications taken for that property on the taxpayer's Vermont
10 income tax return under subdivision (i)(IV) of this subdivision (18)(A);
11 (V) for a taxpayer that does not qualify as an eligible taxpayer
12 for the taxable year, as defined under subdivision (i)(V) of this subdivision
13 (18)(A), for the taxable year in which a deduction is taken on the taxpayer's
14 federal income tax return under 26 U.S.C. § 174A and for each applicable
15 taxable year thereafter, an amount equal to the deduction that would be
16 allowed under 26 U.S.C. § 174 applied as those provisions were in effect on
17 December 31, 2024. The aggregate amount deducted under this subdivision
18 (18)(A)(ii)(V) in all taxable years may not exceed the amount of the deduction
19 taken on that expenditure on the taxpayer's federal income tax return under the
20 Internal Revenue Code, or exceed the amount of the additional modifications

1 ~~taken on the taxpayer's Vermont income tax return under subdivision (i)(V) of~~
2 ~~this subdivision (18)(A);~~

3 (VI) for a taxpayer that qualifies as an eligible taxpayer for the
4 taxable year as defined under subdivision (i)(V) of this subdivision (18)(A)
5 and has domestic research or experimental expenditures, as defined in 26
6 U.S.C. § 174A, as added by subsection 174A(a), which are paid or incurred in
7 taxable years beginning after December 31, 2021, and before January 1, 2025,
8 and which was charged to capital account pursuant to 26 U.S.C. § 174 as those
9 provisions were in effect on December 31, 2024, for the tax year beginning on
10 or after January 1, 2025, and for each applicable taxable year thereafter, an
11 amount equal to the deduction that would be allowed on those amounts under
12 26 U.S.C. § 174 applied as those provisions were in effect on December 31,
13 2024. The aggregate amount deducted under this subdivision (A)(ii)(VI) in all
14 taxable years for any domestic research or experimental expenditure may not
15 exceed the amount of the deduction taken for that expenditure on the
16 taxpayer's federal income tax return under the Internal Revenue Code; and

17 (VII) for a taxpayer that qualifies as an eligible taxpayer for the
18 taxable year as defined under subdivision (i)(V) of this subdivision (18)(A)
19 and has made an addition modification under subdivision (i)(V) in a prior tax
20 year, an amount equal to the subtraction modification that would have been
21 allowed in this taxable year under subdivision (A)(ii)(V) of this subdivision

1 ~~(18) but for the taxpayer's current status as an eligible taxpayer. The aggregate~~
2 amount deducted under this subdivision (18)(A)(ii)(VII) in all taxable years
3 for any expenditure may not exceed the amount of the deduction taken for that
4 expenditure on the taxpayer's federal income tax return under the Internal
5 Revenue Code, or exceed the amount of the addition modifications taken for
6 that expenditure on the taxpayer's Vermont income tax return under
7 subdivision (i)(V) of this subdivision (18)(A) for expenditures paid or incurred
8 on or after January 1, 2025.

9 * * *

10 (21) "Taxable income" means, in the case of an individual, federal
11 adjusted gross income ~~determined without regard to 26 U.S.C. § 168(k)~~ and:

12 (A) increased by the following items of income (to the extent such
13 income is excluded from federal adjusted gross income):

14 (i) interest income from non-Vermont state and local obligations;
15 and

16 (ii) dividends or other distributions from any fund to the extent
17 they are attributable to non-Vermont state or local obligations; and

18 (iii) an amount equal to the bonus depreciation deduction taken on
19 the taxpayer's federal income tax return for the taxable year under Section
20 168(k) or (n) of the Internal Revenue Code, including any amount of bonus
21 depreciation deduction carried over on the taxpayer's federal income tax return

1 ~~as part of a net operating loss from a prior taxable year that is deducted in the~~
2 current taxable year;

3 (iv) for any taxpayer that does not qualify as an eligible taxpayer,
4 an amount equal to any deduction taken on the taxpayer's federal income tax
5 return for the taxable year under 26 U.S.C. § 174A, including any amount of
6 these deductions carried over on the taxpayer's federal income tax return as
7 part of a net operating loss from a prior tax year that is deducted in the current
8 taxable year. For purposes of this subdivision (iv), the term "eligible taxpayer"
9 means any taxpayer (other than a tax shelter prohibited from using the cash
10 receipts and disbursements method of accounting under 26 U.S.C. § 448(a)(3))
11 that meets the gross receipts test of 26 U.S.C. § 448(c) for the taxable year;
12 and

13 (v) an amount equal to any income or gain from the sale or
14 exchange of qualified small business stock excluded from federal gross income
15 for the taxable year under Section 1202(a) of the Internal Revenue Code; and

16 (B) decreased by the following items of income (to the extent such
17 income is included in federal adjusted gross income):

18 (i) income from U.S. government obligations;

19 (ii) with respect to adjusted net capital gain income as defined in
20 26 U.S.C. § 1(h), ~~but excluding any gain specifically included in taxable~~

21 ~~income under subdivision (1)(v) of this subdivision (21), reduced by the total~~

1 ~~amount of any qualified dividend income; either the first \$5,000.00 of such~~
2 adjusted net capital gain income or 40 percent of adjusted net capital gain
3 income from the sale of assets held by the taxpayer for more than three years,
4 except not adjusted net capital gain income from:

5 (i) the sale of any real estate or portion of real estate used by
6 the taxpayer as a primary or nonprimary residence; or

7 (ii) the sale of depreciable personal property other than farm
8 property and standing timber; or stocks or bonds publicly traded or traded on
9 an exchange, or any other financial instruments; regardless of whether sold by
10 an individual or business; and provided that the total amount of decrease under
11 this subdivision (21)(B)(ii) shall not exceed 40 percent of federal taxable
12 income or \$350,000.00, whichever is less;

13 (iii) recapture of State and local income tax deductions not taken
14 against Vermont income tax;

15 (iv) the portion of certain retirement income and federally taxable
16 benefits received under the federal Social Security Act that is required to be
17 excluded under section 5830e of this chapter;

18 (v) the amount of any federal deduction or credit that the taxpayer
19 would have been allowed for the cultivation, testing, processing, or sale of
20 cannabis or cannabis products as authorized under 7 V.S.A. chapter 33 or 37
21 ~~but for 26 U.S.C. § 280E, and~~

1 ~~(vi) the amount of interest paid by a qualified resident taxpayer~~
2 during the taxable year on a qualified education loan for the costs of
3 attendance at an eligible educational institution;
4 ~~(vii) for the taxable year in which the bonus depreciation~~
5 ~~deduction is taken on the taxpayer's federal income tax return under Section~~
6 ~~168(k) or (n) of the Internal Revenue Code and for each applicable taxable~~
7 ~~year thereafter, an amount equal to the depreciation deduction that would be~~
8 ~~allowed on that property if the taxpayer had made the election under Section~~
9 ~~168(k)(7) or (n)(6) of the Internal Revenue Code to not claim bonus~~
10 ~~depreciation on that property. In the taxable year that property is sold or~~
11 ~~otherwise disposed of, an additional deduction shall be allowed to the extent~~
12 ~~the amount of depreciation claimed under Section 168(k) or (n) of the Internal~~
13 ~~Revenue Code on that property has not been recovered through the additional~~
14 ~~deductions provided under this subdivision (21). The aggregate amount~~
15 ~~deducted under this subdivision (21)(B)(vii) in all taxable years for any one~~
16 ~~piece of property shall not exceed the amount of the bonus depreciation~~
17 ~~deduction taken on that property on the taxpayer's federal income tax return~~
18 ~~under Section 168(k) or (n) of the Internal Revenue Code, or exceed the~~
19 ~~amount of the addition modifications taken for that property on the taxpayer's~~
20 ~~Vermont income tax return under subdivision (A)(iii) of this subdivision (21);~~
21 ~~and~~

1 ~~(viii) for a taxpayer that does not qualify as an eligible taxpayer~~
2 for the taxable year, as defined under subdivision (A)(iv) of this subdivision
3 (21), for the taxable year in which a deduction is taken on the taxpayer's
4 federal income tax return under 26 U.S.C. § 174A and for each applicable
5 taxable year thereafter, an amount equal to the deduction that would be
6 allowed under 26 U.S.C. § 174 applied as those provisions were in effect on
7 December 31, 2024. The aggregate amount deducted under this subdivision
8 (21)(B)(viii) in all taxable years may not exceed the amount of the deduction
9 taken on that expenditure on the taxpayer's federal income tax return under the
10 Internal Revenue Code, or exceed the amount of the addition modifications
11 taken on the taxpayer's Vermont income tax return under subdivision (A)(iv)
12 of this subdivision (21);

13 (ix) for a taxpayer that qualifies as an eligible taxpayer for the
14 taxable year as defined under subdivision (A)(iv) of this subdivision (21) and
15 has domestic research or experimental expenditures, as defined in 26 U.S.C.
16 § 174A, as added by subsection 174A(a), which are paid or incurred in taxable
17 years beginning after December 31, 2021, and before January 1, 2025, and
18 which was charged to capital account pursuant to 26 U.S.C. § 174 as those
19 provisions were in effect on December 31, 2024, for the tax year beginning on
20 or after January 1, 2025, and for each applicable taxable year thereafter, an
21 amount equal to the deduction that would be allowed on those amounts under

~~26 U.S.C. § 174 applied as those provisions were in effect on December 31,~~
2024. The aggregate amount deducted under this subdivision (21)(B)(ix) in all
taxable years for any domestic research or experimental expenditure may not
exceed the amount of the deduction taken for that expenditure on the
taxpayer's federal income tax return under the Internal Revenue Code; and
(x) for a taxpayer that qualifies as an eligible taxpayer for the
taxable year as defined under subdivision (A)(iv) of this subdivision (21) and
has made an addition modification under subdivision (A)(iv) of this
subdivision (21) in a prior tax year, an amount equal to the subtraction
modification that would have been allowed in this taxable year under
subdivision (vii) of this subdivision (21)(B) but for the taxpayer's current
status as an eligible taxpayer. The aggregate amount deducted under this
subdivision (21)(B)(x) in all taxable years for any expenditure may not exceed
the amount of the deduction taken for that expenditure on the taxpayer's
federal income tax return under the Internal Revenue Code, or exceed the
amount of the addition modifications taken for that expenditure on the
taxpayer's Vermont income tax return under subdivision (A)(iv) of this
subdivision (21) for expenditures paid or incurred on or after January 1, 2025.

* * *

(28) "Taxable income" means, in the case of an estate or a trust, federal
taxable income determined without regard to 26 U.S.C. § 168(k) and.

1 (A) increased by the following items of income:

2 (i) interest income from non-Vermont state and local obligations;

3 (ii) dividends or other distributions from any fund to the extent

4 they are attributable to non-Vermont state or local obligations; and

5 (iii) the amount of State and local income taxes deducted from

6 federal gross income for the taxable year; and

7 (iv) an amount equal to the bonus depreciation deduction taken on

8 the taxpayer's federal income tax return for the taxable year under Section

9 168(k) or (n) of the Internal Revenue Code, including any amount of bonus

10 depreciation deduction carried over on the taxpayer's federal income tax return

11 as part of a net operating loss from a prior tax year that is deducted in the

12 current taxable year;

13 (v) for any taxpayer that does not qualify as an eligible taxpayer,

14 an amount equal to any deduction taken on the taxpayer's federal income tax

15 return for the taxable year under 26 U.S.C. § 174A, including any amount of

16 these deductions carried over on the taxpayer's federal income tax return as

17 part of a net operating loss from a prior tax year that is deducted in the current

18 taxable year. For purposes of this subdivision (v), the term "eligible taxpayer"

19 means any taxpayer (other than a tax shelter prohibited from using the cash

20 receipts and disbursements method of accounting under 26 U.S.C. § 448(a)(5)).

1 ~~that meets the gross receipts test of 26 U.S.C. § 448(c) for the taxable year;~~

2 and

3 (vi) an amount equal to any income or gain from the sale or
4 exchange of qualified small business stock excluded from federal gross income
5 for the taxable year under Section 1202(a) of the Internal Revenue Code; and

6 (B) decreased by the following items of income:

7 (i) income from U.S. government obligations;

8 (ii) with respect to adjusted net capital gain income as defined in
9 26 U.S.C. § 1(h), ~~but excluding any gain specifically included in taxable~~
10 ~~income as described in subdivision (1)(vi) of this subdivision (28),~~ reduced by
11 the total amount of any qualified dividend income: either the first \$5,000.00 of
12 such adjusted net capital gain income or 40 percent of adjusted net capital gain
13 income from the sale of assets held by the taxpayer for more than three years,
14 except not adjusted net capital gain income from:

15 (I) the sale of any real estate or portion of real estate used by
16 the taxpayer as a primary or nonprimary residence; or

17 (II) the sale of depreciable personal property other than farm
18 property and standing timber; or stocks or bonds publicly traded or traded on
19 an exchange, or any other financial instruments; regardless of whether sold by
20 ~~an individual or business, and provided that the total amount of decrease under~~

1 ~~this subdivision (28)(B)(ii) shall not exceed 40 percent of federal taxable~~
2 ~~income or \$350,000.00, whichever is less; and~~
3 ~~(iii) recapture of State and local income tax deductions not taken~~
4 ~~against Vermont income tax;~~
5 ~~(iv) for the taxable year in which the bonus depreciation deduction~~
6 ~~is taken on the taxpayer's federal income tax return under Section 168(k) or~~
7 ~~(n) of the Internal Revenue Code and for each applicable taxable year~~
8 ~~thereafter, an amount equal to the depreciation deduction that would be~~
9 ~~allowed on that property if the taxpayer had made the election under Section~~
10 ~~168(k)(7) or (n)(6) of the Internal Revenue Code to not claim bonus~~
11 ~~depreciation on that property. In the taxable year that property is sold or~~
12 ~~otherwise disposed of, an additional deduction shall be allowed to the extent~~
13 ~~the amount of depreciation claimed under Section 168(k) or (n) of the Internal~~
14 ~~Revenue Code on that property has not been recovered through the additional~~
15 ~~deductions provided under this subdivision (28). The aggregate amount~~
16 ~~deducted under this subdivision (28)(B)(iv) in all taxable years for any one~~
17 ~~piece of property shall not exceed the amount of the bonus depreciation~~
18 ~~deduction taken on that property on the taxpayer's federal income tax return~~
19 ~~under Section 168(k) or (n) of the Internal Revenue Code, or exceed the~~
20 ~~amount of the addition modifications taken on that property on the taxpayer's~~
21 ~~Vermont income tax return under subdivision (A)(iv) of this subdivision (28).~~

1 ~~(v) for a taxpayer that does not qualify as an eligible taxpayer for~~
2 the taxable year, as defined under subdivision (A)(v) of this subdivision (28),
3 for the taxable year in which a deduction is taken on the taxpayer's federal
4 income tax return under 26 U.S.C. § 174A and for each applicable taxable year
5 thereafter, an amount equal to the deduction that would be allowed under 26
6 U.S.C. § 174 applied as those provisions were in effect on December 31, 2024.
7 The aggregate amount deducted under this subdivision in all taxable years may
8 not exceed the amount of the deduction taken on that expenditure on the
9 taxpayer's federal income tax return under the Internal Revenue Code, or
10 exceed the amount of the addition modifications taken on the taxpayer's
11 Vermont income tax return under subdivision (A)(v) of this subdivision (28);
12 (vi) for a taxpayer that qualified as an eligible taxpayer for the
13 taxable year as defined under subdivision (A)(v) of this subdivision (28) and
14 has domestic research or experimental expenditures, as defined in 26 U.S.C.
15 § 174A, as added by subsection 174A(a), which are paid or incurred in taxable
16 years beginning after December 31, 2021, and before January 1, 2025, and
17 which was charged to capital account pursuant to 26 U.S.C. § 174 as those
18 provisions were in effect on December 31, 2024, for the tax year beginning on
19 or after January 1, 2025 and for each applicable taxable year thereafter, an
20 amount equal to the deduction that would be allowed on those amounts under
21 26 U.S.C. § 174 applied as those provisions were in effect on December 31,

~~2024. The aggregate amount deducted under this subdivision (28)(B)(vi) in all
taxable years for any domestic research or experimental expenditure may not
exceed the amount of the deduction taken for that expenditure on the
taxpayer's federal income tax return under the Internal Revenue Code; and
(vii) for a taxpayer that qualifies as an eligible taxpayer for the
taxable year as defined under subdivision (A)(v) of this subdivision (28) and
has made an addition modification under subdivision (A)(v) of this subdivision
(28) in a prior tax year, an amount equal to the subtraction modification that
would have been allowed in this taxable year under subdivision (v) of this
subdivision (28)(B) but for the taxpayer's current status as an eligible taxpayer.
The aggregate amount deducted under this subdivision in all taxable years for
any expenditure may not exceed the amount of the deduction taken for that
expenditure on the taxpayer's federal income tax return under the Internal
Revenue Code, or exceed the amount of the addition modifications taken for
that expenditure on the taxpayer's Vermont income tax return under
subdivision (A)(v) of this subdivision (28) for expenditures paid or incurred on
or after January 1, 2025.~~

* * *

Sec. 56. 32 V.S.A. § 5822 is amended to read:

§ 5822. TAX ON INCOME OF INDIVIDUALS, TRUSTS, AND ESTATES

1 ~~(e) The tax determined under subsections (a) through (d) of this section~~
2 shall be reduced by a percentage equal to the portion of adjusted gross income
3 that is not Vermont income; provided, however, that if a taxpayer's Vermont
4 income exceeds the taxpayer's adjusted gross income, no reduction shall be
5 made and provided, further, that if a taxpayer has zero or negative Vermont
6 income and the taxpayer's Vermont income computed without regard to the
7 reductions in subsection 5823(a) of this chapter does not equal or exceed the
8 taxpayer's adjusted gross income, no tax shall be due under this section. For
9 the purposes of this subsection, adjusted gross income means federal adjusted
10 gross income modified by the additions and subtractions provided for in
11 subdivisions 5811(21)(A) and (B) of this chapter for an individual, and federal
12 adjusted gross income modified by the additions and subtractions provided for
13 in subdivisions 5811(28)(A) and (B) of this chapter for an estate or a trust.

14 Sec. 57. 32 V.S.A. § 5823 is amended to read:

15 § 5823. VERMONT INCOME OF INDIVIDUALS, ESTATES, AND
16 TRUSTS

17 * * *

18 (b) For any taxable year, the Vermont income of a nonresident individual,
19 estate, or trust is the sum of the following items of income to the extent they
20 are required to be included in the federal adjusted gross income of the
21 individual after the value of those items are modified by the additions and

1 ~~subtractions provided for in subdivisions 5811(21)(A) and (B) of this chapter~~
2 or the gross federal adjusted gross income of an estate or trust after the value
3 of those items are modified by the additions and subtractions provided for in
4 subdivision (28)(A) and (B) of this chapter for that taxable year:

5 * * *

6 Sec. 58. 32 V.S.A. § 5930ii is amended to read:

7 § 5930ii. RESEARCH AND DEVELOPMENT TAX CREDIT

8 (a) A taxpayer of this State shall be eligible for a credit against the tax
9 imposed under this chapter in an amount equal to ~~27~~ 75 percent of the amount
10 of the federal tax credit allowed in the taxable year for eligible research and
11 development expenditures under 26 U.S.C. § 41(a) that are made within this
12 State.

13 (b) Any unused credit available under subsection (a) of this section may be
14 carried forward for up to 10 years.

15 (c) Each year, on or before January 15, the Department of Taxes shall
16 publish a list containing the names of the taxpayers who have claimed a credit
17 under this section during the most recent completed calendar year.

18 Sec. 59. 32 V.S.A. § 5930ee is amended to read:

19 § 5930ee. LIMITATIONS

20 Beginning in fiscal year 2010 and thereafter, the State Board may award tax
21 ~~credits to all qualified applicants under this subchapter, provided that.~~

1 ~~(1) the total amount of tax credits awarded annually, together with sales~~
2 ~~tax reallocated under section 9819 of this title, does not exceed \$3,000,000.00~~
3 ~~\$4,000,000.00;~~

4 * * *

5 Sec. 60. 32 V.S.A. § 5824 is amended to read:

6 § 5824. ADOPTION OF FEDERAL INCOME TAX LAWS

7 The statutes of the United States relating to the federal income tax, as in
8 effect on December 31, 2024 2025, but without regard to federal income tax
9 rates under 26 U.S.C. § 1, are hereby adopted for the purpose of computing the
10 tax liability under this chapter and shall continue in effect as adopted until
11 amended, repealed, or replaced by act of the General Assembly.

12 Sec. 61. 32 V.S.A. § 7402(8) is amended to read:

13 (8) “Laws of the United States” means the U.S. Internal Revenue Code
14 of 1986, as amended through December 31, 2024 2025. As used in this
15 chapter, “Internal Revenue Code” has the same meaning as “laws of the United
16 States” as defined in this subdivision. The date through which amendments to
17 the U.S. Internal Revenue Code of 1986 are adopted under this subdivision
18 shall continue in effect until amended, repealed, or replaced by act of the
19 ~~General Assembly.~~

~~*** Revenue Deposits; Purchase and Use and Meals and Rooms Taxes ***~~

Sec. 62. 16 V.S.A. § 4025 is amended to read:

§ 4025. EDUCATION FUND

(a) The Education Fund is established to comprise the following:

* * *

(4) ~~25~~ 29 percent of the revenues from the meals and rooms taxes imposed under 32 V.S.A., chapter 225;

(5) ~~one-third~~ 27 percent of the revenues raised from the purchase and use tax imposed by 32 V.S.A., chapter 219, notwithstanding 19 V.S.A. § 11(1);

* * *

Sec. 63. 32 V.S.A. § 435(b)(7) is amended to read:

(7) ~~69~~ 65 percent of the meals and rooms taxes levied pursuant to chapter 225 of this title;

* * * Effective Dates * * *

~~Sec. 64. EFFECTIVE DATES~~

This act shall take effect on passage except:

(1) Notwithstanding 1 V.S.A. § 214, Sec. 1 (credit for taxes paid in another state by an S corporation), Secs. 55–57 (decoupling from select provisions of IRC), and Secs. 60–61 (annual link-up) shall take effect retroactively on January 1, 2025, and shall apply to taxable years beginning on and after January 1, 2025.

1 ~~(2) Secs. 3 and 4 (current use, land use change tax) shall take effect on~~
2 ~~October 1, 2026.~~

3 ~~(3) Sec. 20 (grand list definition of parcel) shall take effect on April 1,~~
4 ~~2027, and shall apply to grand lists lodged on and after that date.~~

5 ~~(4) Sec. 22 (Department of Fish and Wildlife rule on fees) shall take~~
6 ~~effect on July 1, 2027.~~

7 ~~(5) Secs. 24–48 (grand list assessment date) shall take effect on July 1,~~
8 ~~2031, and shall apply to grand lists lodged after that date.~~

9 ~~(6) Sec. 56 (Vermont research and development tax credit) shall take~~
10 ~~effect on January 1, 2027, and shall apply to taxable years beginning on and~~
11 ~~after January 1, 2027.~~

Sec. 64. EFFECTIVE DATES

This act shall take effect on passage except:

(1) Notwithstanding 1 V.S.A. § 214, Sec. 1 (credit for taxes paid in
another state by an S corporation) shall take effect retroactively on January 1,
2025, and shall apply to taxable years beginning on and after January 1,
2025.

(2) Secs. 3 and 4 (current use; land use change tax) shall take effect on
October 1, 2026.

(3) Sec. 20 (grand list definition of parcel) shall take effect on April 1,
2027, and shall apply to grand lists lodged on and after that date.

~~(4) Sec. 22 (Department of Fish and Wildlife rule on fees) shall take effect on July 1, 2027.~~

~~(5) Secs. 24–48 (grand list assessment date) shall take effect on July 1, 2031, and shall apply to grand lists lodged after that date.~~

~~(6) Sec. 58 (Vermont research and development tax credit) shall take effect on January 1, 2027, and shall apply to taxable years beginning on and after January 1, 2027.~~

~~(7) Notwithstanding 1 V.S.A. § 214, Secs. 55–57 (decoupling from select provisions of IRC) and Secs. 60 and 61 (annual link-up) shall take effect retroactively on January 1, 2026, and shall apply to taxable years beginning on and after January 1, 2025.~~

** * * Credit for Taxes Paid in Another State by an S Corporation * * **

Sec. 1. REPEAL

32 V.S.A. § 5916 (denial of tax credits for S corporations) is repealed.

** * * Property Transfer Tax * * **

Sec. 2. 32 V.S.A. § 9602 is amended to read:

§ 9602. TAX ON TRANSFER OF TITLE TO PROPERTY

A tax is hereby imposed upon the transfer by deed of title to property located in this State, or a transfer or acquisition of a controlling interest in any person with title to property in this State. The amount of the tax equals 1.25

percent of the value of the property transferred, or \$1.00, whichever is greater, except as follows:

** * **

(4) Tax shall be imposed at the rate of 3.4 percent of the value of the property transferred with respect to transfers of residential property:

(A) ~~residential property~~ that is fit for habitation on a year-round basis;

(B) that will not be used as the principal residence of the transferee; and

(C) for which the transferee will not be required to provide a landlord certificate pursuant to section 6069 of this title.

(5) If a transfer would have been subject to the tax rate under subdivision (4) of this section but for the transferee's filing of a landlord certificate of rent for which there is no bona fide landlord-tenant relationship between the parties, the Commissioner shall assess tax at the rate under subdivision (4) of this section on the transfer. To make this determination, the Commissioner may consider whether the transferee and tenant are related parties, whether the transferee charges the tenant fair market rent, whether the transferee is an entity with a business purpose other than the avoidance of property transfer tax, and any other factor the Commissioner deems relevant.

** * * Current Use; Land Use Change Tax * * **

Sec. 3. 32 V.S.A. § 3757 is amended to read:

§ 3757. LAND USE CHANGE TAX

(a) Land that has been classified as agricultural land or managed forestland pursuant to this chapter shall be subject to a land use change tax upon the development of that land, as defined in section 3752 of this chapter. The tax shall be at the rate of 10 percent of the full fair market value of the changed land determined without regard to the use value appraisal. If changed land is a portion of a parcel, the fair market value of the changed land shall be the fair market value of the changed land as a separate parcel, divided by the common level of appraisal. Such fair market value shall be determined as of the date the land is no longer eligible for use value appraisal. This tax shall be in addition to the annual property tax imposed upon such property. Nothing in this section shall be construed to require payment of an additional land use change tax upon the subsequent development of the same land, nor shall it be construed to require payment of a land use change tax merely because previously eligible land becomes ineligible, provided no development of the land has occurred.

(b) Any owner of eligible land who wishes to withdraw land from use value appraisal shall notify the Director, who shall in turn notify the local assessing official. In the alternative, if the Director determines that development has

occurred, the Director shall notify the local assessing official of ~~his or her~~ the Director's determination. Thereafter, land that has been withdrawn or developed shall be appraised and listed at its full fair market value in accordance with the provisions of chapter 121 of this title and subsection 3756(d) of this title, according to the appraisal model and land schedule of the municipality.

(c) For the purposes of the land use change tax, the determination of the fair market value of the land shall be made by the local assessing officials in accordance with ~~the provisions of~~ subsection (b) of this section and divided by the municipality's most recent common level of appraisal as determined by the Director. The determination shall be made within 30 days after the Director notifies the local assessing officials of the date that the owner has petitioned for withdrawal from use value appraisal or that the Director or local assessing official has determined that development has occurred. The local assessing officials shall notify the Director and the owner of their determination, ~~and the~~. Failing a determination of the fair market value of the withdrawn portion of the parcel by the local assessing officials within 30 days as required under this subsection, the Director shall establish the fair market value of the changed land and notify the local assessing officials and the owner of the Director's determination within 30 days. The provisions for appeal relating to property tax assessments in chapter 131 of this title shall apply, except that the

owner shall have 30 days to appeal the determination to the municipality or to the Director as applicable under this subsection. If an owner erroneously appeals a municipality's determination to the Director, the Director may forward the appeal to the municipality and, provided the appeal to the Director is made within 30 days as permitted under this subsection, the appeal shall be considered timely filed to the municipality.

(d) The land use change tax shall be due and payable by the owner 30 days after the tax notice is mailed to the taxpayer owner. The tax shall be paid to the Commissioner, who, if the municipality's local assessing officials timely determine fair market value of the withdrawn portion of the parcel pursuant to subsection (c) of this section, shall remit to the municipality the lesser of one-half the tax paid or \$2,000.00.—The Director and shall deposit three-quarters of the remainder of the tax paid in the Education Fund, and one-quarter of the remainder of the tax paid in the General Fund. If the municipality's local assessing officials fail to timely determine fair market value of the withdrawn portion of the parcel pursuant to subsection (c) of this section, the municipality shall forfeit any tax paid and the Commissioner shall deposit three-quarters of the tax paid in the Education Fund, and one-quarter of the tax paid in the General Fund. The Commissioner shall issue a form to the assessing officials that shall provide for a description of the land developed, the amount of tax payable, and the fair market value of the land at the time of development or

withdrawal from use value appraisal. The owner shall fill out the form and shall sign it under the penalty of perjury. After receipt of the completed and signed form, the Commissioner shall furnish the owner with one copy, shall retain one copy, and shall forward one copy to the local assessing officials, one copy to the register of deeds of the municipality in which the land is located, and one copy to the Secretary of Agriculture, Food and Markets if the land is agricultural land and in all other cases to the Commissioner of Forests, Parks and Recreation.

** * **

Sec. 4. 32 V.S.A. § 3758(b) is amended to read:

(b) Any owner who is aggrieved by the determination of the fair market value of classified land for the purpose of computing the land use change tax may appeal in the same manner as an appeal of a grand list valuation under this title, except that the owner shall have 30 days to appeal the determination to the municipality or to the Director as applicable under subsection 3757(c) of this chapter.

Sec. 4a. 32 V.S.A. § 3755(b)(2) is amended to read:

(2) A management report of whatever activity has occurred, signed by ~~the~~ an owner or forester working on behalf of an owner, has been filed with the Department of Taxes' Director of Property Valuation and Review on or before

February 1 of the year following the year when the management activity occurred.

Sec. 4b. 32 V.S.A. § 4463 is amended to read:

§ 4463. OBJECTIONS TO APPEAL

When a taxpayer, an agent designated by the legislative body of the town, or selectboard claims that an appeal to the Director is in any manner defective or was not lawfully taken, on or before ~~14~~ 30 days after mailing of the notice of ~~appeal by the clerk under Rule 74(b) of the Vermont Rules of Civil Procedure~~ receipt of the appeal by the Director, the taxpayer, town agent, or selectboard shall file objections in writing with the Director, and furnish the appellant or appellant's attorney with a copy of the objections. When the taxpayer, agent, or selectboard so requests, the Director shall thereupon fix a time and place for hearing the objections, and shall notify all parties thereof, by mail or otherwise. Upon hearing or otherwise, the Director shall pass upon the objections and make such order in relation thereto as is required by law. The order shall be recorded or attached in the town clerk's office in the book wherein the appeal is recorded.

Sec. 4c. REPEAL; GRAND LIST CONTENTS

2025 Acts and Resolves No. 73, Sec. 60 (grand list contents) is repealed.

** * * Municipal Grand List Stabilization Program * * **

Sec. 5. 32 V.S.A. § 3710(c) is amended to read:

(c) Upon notification by the Commissioner of Public Safety, the Commissioner of Taxes shall certify the payment amounts and make an annual payment to each municipality for each eligible property to compensate for the loss of municipal property tax. The payment shall be calculated using the grand list value of the acquired property for the year during which the property was either damaged by flooding or identified as flood-prone by the Commissioner of Public Safety, multiplied by the municipal tax rate, including any submunicipal tax rates, in effect ~~each~~ in the immediately preceding year. This payment shall be made on or before January 1 of each year for five years.

** * * Communications Property; Inventories * * **

Sec. 6. 32 V.S.A. § 3602b is amended to read:

§ 3602b. COMMUNICATIONS PROPERTY

- (a) All communications property shall be set in the grand list as real estate.*
- (b) Communications property owned by a nonmunicipal communications service provider shall be taxed at appraisal value as defined in section 3481 of this title.*
- (c) As used in this section, “communications property” means tangible personal property used to enable the real-time, two-way, electromagnetic transmission of information, such as audio, video, and data, that is so fitted*

and attached as to be part of a local, state, national, or international communications network, as well as facilities that are part of a cable television system as defined in 30 V.S.A. § 501(2). The term includes wires, cables, conduit, pipes, antennas, poles, and wireless towers. The term does not include property used solely for one-way, broadcast radio or television transmission serving the general public and owned and operated by a licensed broadcaster.

(d)(1) On or before May 1 of each year, the Division of Property Valuation and Review of the Department of Taxes shall provide the listers in each municipality with the valuation of all taxable communications property of any communications service provider situated therein as reported by such provider to the Division.

(2) On or before March 31 of each year, each communications service provider shall submit to the Division a sworn inventory of all its taxable communications property in a form that identifies the valuation of its property in each municipality. If the communications service provider fails to submit the inventory on or before April 15 and in the form prescribed, the Commissioner may fine the provider not more than \$100.00 for each violation, unless the provider's failure is due to factors beyond the provider's control.

(3) The Division shall prescribe the form of the inventory required under subdivision (2) of this subsection and the officer or officers who shall submit

the sworn inventory. If a communications service provider willfully omits to make, swear to, and submit an inventory, or to answer any interrogatory therein, or makes a false answer or statement therein, then the Division shall ascertain the amount and fair market value of the provider's communications property using the best information available to the Division. In addition to the fine under subdivision (2) of this subsection, the provider shall be barred from any statutory appeal under this chapter or chapter 129 or 131 of this title of the value set by the Division under this subdivision.

(4) The valuations provided to the listers pursuant to this section shall be used by the listers in determining and fixing the valuations of communications property for the purposes of property taxation.

* * * Equalization Study * * *

Sec. 7. 32 V.S.A. § 5405(a) is amended to read:

(a) Annually, on or before April 1, the Commissioner shall determine the equalized education property tax grand list and coefficient of dispersion for each municipality in the State; provided, however, that for purposes of equalizing grand lists pursuant to this section, the equalized education property tax grand list of a municipality that establishes a tax increment financing district or a housing development site under 24 V.S.A. chapter 53, subchapter 7 shall include the fair market value of the property in the district or site and not the original taxable value of the property, and further provided

that the unified towns and gores of Essex County may be treated as one municipality for the purpose of determining an equalized education property grand list and a coefficient of dispersion, if the Director determines that all such entities have a uniform appraisal schedule and uniform appraisal practices.

Sec. 8. 32 V.S.A. § 5406 is amended to read:

*§ 5406. NOTICE OF FAIR MARKET VALUE AND COEFFICIENT OF
DISPERSION*

** * **

(c) If the Director of Property Valuation and Review certifies that a municipality has completed a townwide reappraisal, the common level of appraisal for that municipality shall be ~~equal to its new grand list value divided by its most recent equalized grand list value~~ 100 percent, for purposes of determining education property tax rates.

** * * Health IT Fund Sunset Extension * * **

Sec. 9. 2013 Acts and Resolves No. 73, Sec. 60(10), as amended by 2017 Acts and Resolves No. 73, Sec. 14, 2018 Acts and Resolves No. 187, Sec. 5, 2019 Acts and Resolves No. 71, Sec. 21, 2021 Acts and Resolves No. 73, Sec. 14, 2023 Acts and Resolves No. 78, Sec. E.306.1, and 2024 Acts and Resolves No. 144, Sec. 11, is further amended to read:

(10) Secs. 48–51 (health care claims tax) shall take effect on July 1, 2013, and Sec. 52 (Health IT-Fund; sunset) shall take effect on July 1, 2026 2031.

Sec. 10. 2019 Acts and Resolves No. 6, Sec. 105, as amended by 2019 Acts and Resolves No. 71, Sec. 19, 2022 Acts and Resolves No. 83, Sec. 75, 2023 Acts and Resolves No. 78, Sec. E.306.2, and 2024 Acts and Resolves No. 144, Sec. 12, is further amended to read:

Sec. 105. EFFECTIVE DATES

** * **

(b) Sec. 73 (further amending 32 V.S.A. § 10402) shall take effect on July 1, 2026 2031.

** * **

** * * Inflation Index Updates * * **

Sec. 11. 16 V.S.A. § 559(e)(7) is amended to read:

(7) Nothing in this section shall require a school board or supervisory union board to invite or advertise for bids if it is renewing a contract entered into pursuant to subsection (a) of this section, provided that:

(A) annual costs will not increase more than the most recent ~~New England Economic Project Cumulative Price Index~~ National Income and Product Accounts (NIPA) implicit price deflator, as of November 15, for ~~State state and local government purchases of goods and services, consumption~~

expenditures and gross investment published by the U.S. Department of Commerce, Bureau of Economic Analysis;

(B) the total amount of the contract does not exceed an increase of 30 percent more than the total amount of the original contract; and

(C) the contract for the renewal period allows termination by the board following an annual review of performance.

Sec. 12. 16 V.S.A. § 2959a(d) is amended to read:

(d) If the amount of Medicaid reimbursement funds received for services provided in the prior State fiscal year exceeds \$25,000,000.00, in addition to the 50 percent of the funds paid to supervisory unions submitting Medicaid bills, 25 percent of the amounts in excess of the \$25,000,000.00 shall be paid into an incentive fund created in the Agency of Education. These funds shall be used for an incentive payment to supervisory unions with student participation rates of over 80 percent in accordance with a formula to be developed by the Agency, in consultation with the Vermont Superintendents Association. For any incentive payments made subsequent to fiscal year 2007, the \$25,000,000.00 threshold of this subsection shall be increased by the percentage increase of the most recent New England Economic Project Cumulative Price Index National Income and Product Accounts (NIPA) implicit price deflator, as of November 15, for state and local government purchases of goods and services consumption expenditures and gross

investment published by the U.S. Department of Commerce, Bureau of Economic Analysis, from fiscal year 2005 through the fiscal year for which the payment is being determined, plus an additional one-tenth of one percent.

Sec. 13. 16 V.S.A. § 4011(b) is amended to read:

(b) For each fiscal year, the base education amount shall be \$6,800.00, increased by the most recent ~~New-England-Economic-Project-Cumulative-Price-Index~~ National Income and Product Accounts (NIPA) implicit price deflator, as of November 15, for state and local government ~~purchases-of-goods-and-services~~ consumption expenditures and gross investment published by the U.S. Department of Commerce, Bureau of Economic Analysis, from fiscal year 2005 through the fiscal year for which the amount is being determined, plus an additional one-tenth of one percent.

Sec. 14. 32 V.S.A. § 5401(12)(B) is amended to read:

(B) In excess of 118 percent of the statewide average district per pupil education spending increased by inflation, as determined by the Secretary of Education on or before November 15 of each year based on the passed budgets to date. As used in this subdivision, “increased by inflation” means increasing the statewide average district per pupil education spending for fiscal year 2025 by the most recent ~~New-England-Economic-Project-cumulative-price-index~~ National Income and Product Accounts (NIPA) implicit price deflator, as of November 15, for state and local government ~~purchases-of~~

~~goods and services consumption expenditures and gross investment published by the U.S. Department of Commerce, Bureau of Economic Analysis, from fiscal year 2025 through the fiscal year for which the amount is being determined.~~

** * * Homestead Declaration and Property Tax Credit * * **

Sec. 15. 32 V.S.A. § 6062(c) is amended to read:

(c) When a homestead is owned by two or more persons as joint tenants, tenants by the entirety, or tenants in common and one or more of these persons are not members of the claimant's household, the property tax is the same proportion of the property tax levied on that homestead as the proportion of ownership of the homestead by the claimant and members of the claimant's household; provided, however, that:

** * **

(3) the property tax of a claimant who is a joint tenant with a former spouse and who has possession of the homestead pursuant to the joint owners' final divorce decree is the property tax for which the claimant is responsible under the joint owners' final divorce decree or any modifying orders; ~~and~~

(4) if the homestead is a portion of a duplex and all owners of the duplex occupy some portion of the building as their principal residence, the property tax of the claimant shall be that percentage of the total property tax

equal to the ratio of the claimant's principal residence value to the total duplex building value; and

(5) the property tax of a claimant who is a joint tenant or tenant by the entirety with a spouse who is not a member of the household, and who is party to a divorce or separation proceeding in a court of law, shall be 100 percent of the property tax.

** * * Estate Tax * * **

Sec. 16. 32 V.S.A. § 7444(a) is amended to read:

(a) An executor shall submit a Vermont estate tax return to the Commissioner, on a form prescribed by the Commissioner, when a decedent has an interest in property with a situs in Vermont and one or both of the following apply:

(1) a federal estate tax return is required to be filed under 26 U.S.C. § 6018; or

(2) the sum of the federal gross estate and federal adjusted taxable gifts, as defined in 26 U.S.C. § 2001(b), made within two years of the date of the decedent's death exceeds ~~\$2,750,000.00~~ \$5,000,000.00.

Sec. 17. 32 V.S.A. § 5930u(h) is amended to read:

(h) Credit allocation; Down Payment Assistance Program.

(1) In fiscal year 2016 through fiscal year 2019, the allocating agency may award up to \$125,000.00 in total first-year credit allocations for loans

through the Down Payment Assistance Program created in subdivision (b)(2) of this section.

(2) In fiscal year 2020 through fiscal year 2026, the allocating agency may award up to \$250,000.00 in total first-year credit allocations for loans through the Down Payment Assistance Program created in subdivision (b)(3) of this section.

(3) In fiscal year 2027 through fiscal year 2031, the allocating agency may award up to \$350,000.00 in total first-year credit allocations for loans through the Down Payment Assistance Program created in subdivision (b)(3) of this section.

** * * Federal Tax Credit for SGO Contributions * * **

Sec. 18. FINDINGS

The General Assembly finds:

(1) Section 25F of the Internal Revenue Code creates a new federal program to subsidize scholarships for expenses at public and private schools.

(2) Under the terms of the statute, states may voluntarily elect to participate in the program, or they may decline to participate.

(3) The decision concerning whether or not to participate in the program is to be made by “the Governor of the State or by such other individual, agency, or entity as is designated under State law to make such elections on behalf of the State with respect to Federal tax benefits.”

~~Sec. 19. 3 V.S.A. § 24 is added to read:~~

~~§ 24. GOVERNOR'S LIST OF SCHOLARSHIP GRANTING~~

~~ORGANIZATIONS~~

~~(a) Annually on December 1, the Governor, or designee, may elect to provide a list of organizations that satisfy the conditions of subsection (b) of this section to the U.S. Secretary of the Treasury for purposes of making the federal qualified elementary and secondary education scholarship tax credit available for Vermont taxpayers under 26 U.S.C. § 25F. It shall be presumed that an organization listed in the previous year will be listed in the subsequent year unless the Governor finds that the organization has failed to meet the requirements of this section.~~

~~(b) An organization shall not be listed unless the organization meets the following criteria:~~

~~(1) it qualifies as a "scholarship granting organization" as defined under 26 U.S.C. § 25F(c)(5);~~

~~(2) it is a nonprofit organization with the core mission of providing educational opportunities to economically underprivileged students through after-school programs, summer programs, tutoring, and similar programs;~~

~~(3) all grants and scholarships provided by the organization are to students attending a public school, as defined in 16 V.S.A. § 11(a)(7), or a~~

~~independent school, as defined in 16 V.S.A. § 11(a)(8), that is also capable of receiving public tuition;~~

~~(4) all grants and scholarships provided by the organization are for students to attend a program that is partnered with, or approved by, a public school, as defined in 16 V.S.A. § 11(a)(7), or an independent school, as defined in 16 V.S.A. § 11(a)(8), that is also capable of receiving public tuition; and~~

~~(5) when determining whether to award a scholarship, the organization does not discriminate against any student because of race, color, religion, ancestry, national origin, sex, sexual orientation, gender identity, place of birth, crime victim status, or age or against a student with a disability, as that term is defined under 21 V.S.A. § 495d(5).~~

~~(c) Annually, on or before January 15, each scholarship granting organization listed pursuant to subsection (a) of this section in the previous calendar year shall provide a report to the House Committee on Education and Senate Committee on Education providing the following information relating to activity in the previous year:~~

~~(1) the total amount provided in scholarships under this section;~~

~~(2) the total number of scholarships provided under this section;~~

~~(3) the total number of scholarship recipients;~~

~~(4) a complete list of after-school programs, summer programs, tutoring, and similar programs that scholarship recipients attended using~~

~~scholarship funds provided by the organization and the amount of scholarship funds received by each program;~~

~~(5) the total number of individuals who made donations to the organization, including the zip code of each individual donor;~~

~~(6) the total amount of money received as donations;~~

~~(7) the total amount spent on administrative costs with a description of those administrative costs and an accounting of any unspent funds currently held; and~~

~~(8) a list identifying all employees, officers, and board members of the organization that includes, for every individual, the name of the position held and compensation received.~~

~~(d) In the Governor's discretion, the Governor may audit an organization seeking placement on the list, or a program receiving scholarship funds under this section, to ensure the organization meets all the requirements for placement as provided by this section and applicable federal law. The Governor shall not list an organization that the Governor knows is not in compliance with the requirements of this section or 26 U.S.C. § 25F(c)(5).~~

~~(e)(1) If the Attorney General finds that any provision of this act is rendered invalid due to a federal act, federal agency rule, or court of competent jurisdiction, the Attorney General shall submit written notice of the~~

~~invalidation to the Governor, the Speaker of the House, and President Pro
Tempore of the Senate that the provision is invalid.~~

~~(2) Upon receipt of the notice provided under subdivision (1) of this
subsection (e), neither the Governor nor the Governor's designee shall provide
a list of organizations to the U.S. Secretary of the Treasury under subsection
(a) of this section until the General Assembly has enacted legislation
addressing the invalidated provision.~~

Sec. 19. 3 V.S.A. § 24 is added to read:

§ 24. GOVERNOR'S LIST OF SCHOLARSHIP GRANTING

ORGANIZATIONS

(a) Annually on December 1, the Governor or designee may elect to
provide a list of organizations that satisfy the conditions of subsection (b) of
this section to the U.S. Secretary of the Treasury for purposes of making the
federal qualified elementary and secondary education scholarship tax credit
available for Vermont taxpayers under 26 U.S.C. § 25F. It shall be presumed
that an organization listed in the previous year will be listed in the subsequent
year unless the Governor finds that the organization has failed to meet the
requirements of this section.

(b) An organization shall not be listed unless the organization meets the
following criteria:

(1) it qualifies as a “scholarship granting organization” as defined under 26 U.S.C. § 25F(c)(5);

(2) it is a nonprofit organization with the core mission of providing educational opportunities to economically underprivileged students through afterschool programs, summer programs, tutoring, and similar programs;

(3) all grants and scholarships provided by the organization are to students attending a public school, as defined in 16 V.S.A. § 11(a)(7), or an independent school, as defined in 16 V.S.A. § 11(a)(8), that is also capable of receiving public tuition;

(4) all grants and scholarships provided by the organization are for students to attend a program offered by a program provider that has entered into a memorandum of understanding pursuant to subsection (c) of this section with a public school, as defined in 16 V.S.A. § 11(a)(7); an independent school, as defined in 16 V.S.A. § 11(a)(8), that is also capable of receiving public tuition; or a school district, as defined in 16 V.S.A. § 11(a)(10); and

(5) when determining whether to award a scholarship, the organization does not discriminate against any student because of race, color, religion, ancestry, national origin, sex, sexual orientation, gender identity, place of birth, crime victim status, or age or against a student with a disability, as that term is defined under 21 V.S.A. § 495d(5).

(c) The memorandum of understanding between a program provider and school required under subdivision (b)(4) of this section shall include verification that the program provider offers a program that:

(1) is for after school, during a school break, for supplemental tutoring, or similar;

(2) is educational in nature; and

(3) does not discriminate against any student because of race, color, religion, ancestry, national origin, sex, sexual orientation, gender identity, place of birth, crime victim status, or age or against a student with a disability, as that term is defined under 21 V.S.A. § 495d(5).

(d) Annually, on or before January 15, each scholarship granting organization listed pursuant to subsection (a) of this section in the previous calendar year shall provide a report to the House and Senate Committees on Education providing the following information relating to activity in the previous year:

(1) the total amount provided in scholarships under this section;

(2) the total number of scholarships provided under this section;

(3) the total number of scholarship recipients;

(4) a complete list of afterschool programs, summer programs, tutoring, and similar programs that scholarship recipients attended using scholarship

funds provided by the organization and the amount of scholarship funds received by each program;

(5) the total number of individuals who made donations to the organization, including the zip code of each individual donor;

(6) the total amount of money received as donations;

(7) the total amount spent on administrative costs with a description of those administrative costs and an accounting of any unspent funds currently held; and

(8) a list identifying all employees, officers, and board members of the organization that includes, for every individual, the name of the position held and compensation received.

(e) In the Governor's discretion, the Governor may audit an organization seeking placement on the list, or a program receiving scholarship funds under this section, to ensure the organization meets all the requirements for placement as provided by this section and applicable federal law. The Governor shall not list an organization that the Governor knows is not in compliance with the requirements of this section or 26 U.S.C. § 25F(c)(5).

(f)(1) If the Attorney General finds that any provision of this act is rendered invalid due to a federal act, federal agency rule, or court of competent jurisdiction, the Attorney General shall submit written notice of the

invalidation to the Governor, the Speaker of the House, and the President Pro Tempore of the Senate that the provision is invalid.

(2) Upon receipt of the notice provided under subdivision (1) of this subsection, neither the Governor nor the Governor's designee shall provide a list of organizations to the U.S. Secretary of the Treasury under subsection (a) of this section until the General Assembly has enacted legislation addressing the invalidated provision.

* * * Definition of Parcel * * *

Sec. 20. 32 V.S.A. § 4152(a)(3) is amended to read:

(3) A brief description of each parcel of taxable real estate in the town.
“Parcel” means all contiguous land in the same ownership, together with all improvements thereon, except for purposes of mapping and per parcel payments under subsections 4041a(a) and 5405(f) of this title, for which “parcel” means a separate and sellable lot or piece of real estate.

* * *

* * * Department of Fish and Wildlife Fee Setting * * *

Sec. 21. 10 V.S.A. § 4132 is amended to read:

§ 4132. GENERAL DUTIES OF COMMISSIONER

(a) The Commissioner shall have charge of the enforcement of the provisions of this part.

* * *

~~(e)(1) The Commissioner, subject to the direction and approval of the Secretary, shall adopt and publish rules in the name of the Agency for reasonable fees or charges for the use of the lands, roads, buildings, other property, and the use of and tuition for the Green Mountain Conservation Camps, notwithstanding 32 V.S.A. § 603. Notwithstanding 32 V.S.A. § 603 and with the approval of the Secretary, the Commissioner may:~~

~~(A) issue licenses for the long-term use of Department of Fish and Wildlife lands for research, academic study, commercial use, or use by regulated utilities; and~~

~~(B) set the tuition for the Green Mountain Conservation Camps.~~

~~(2) The Commissioner shall adopt by rule the fees to be charged for licenses and tuition authorized under this subsection. The Commissioner is prohibited from adopting by rule a requirement that an individual possess a license or permit in order to access lands owned or controlled by the Department of Fish and Wildlife.~~

~~(3) Fees collected for the use of fish and wildlife lands and properties under this subsection shall be deposited in the Fish and Wildlife Fund.~~

~~(4) As used in this subsection, "license" means a written instrument issued by the Commissioner that authorizes research, academic study, commercial use, or use by regulated utilities on Department lands but does not vest the licensee with any property rights.~~

* * *

~~Sec. 22. REPEAL, COMMISSIONER OF FISH AND WILDLIFE RULE ON
FEES FOR THE USE OF FISH AND WILDLIFE DEPARTMENT
LANDS AND FACILITIES~~

~~*Commissioner of Fish and Wildlife Rule 2008-01, CVR 12-010-075, Fees
for the Use of Fish and Wildlife Department Lands and Facilities, is repealed.*~~

Sec. 22. REPEAL; COMMISSIONER OF FISH AND WILDLIFE RULE ON
FEES FOR THE USE OF FISH AND WILDLIFE DEPARTMENT
LANDS AND FACILITIES

Notwithstanding 3 V.S.A. § 848, Commissioner of Fish and Wildlife Rule
2008-01, CVR 12-010-075, Fees for the Use of Fish and Wildlife Department
Lands and Facilities will remain in effect through June 30, 2027, and will be
repealed on July 1, 2027.

Sec. 23. DEPARTMENT OF FISH AND WILDLIFE REPORT ON FEES

On or before January 15, 2027, the Commissioner of Fish and Wildlife shall
submit to the House Committee on Ways and Means and the Senate Committee
on Finance recommended fees to be charged for the use of the lands, roads,
buildings, or other property owned or controlled by the Department of Fish
and Wildlife so that the General Assembly, consistent with the requirements of
32 V.S.A. § 603, shall establish the fees by statute for the service or product
provided or regulatory function performed.

** * * Grand List Assessment Date * * **

Sec. 24. 24 V.S.A. § 1892(b) is amended to read:

(b) When adopted by the act of the legislative body of that municipality, the plan shall be recorded with the municipal clerk and lister or assessor; and the creation of the district shall occur at 12:01 a.m. on ~~April~~ January 1 of the calendar year so voted by the municipal legislative body.

Sec. 25. 24 V.S.A. § 1904(b)(2) is amended to read:

(2) When adopted by the act of the legislative body of that municipality, the plan shall be recorded with the municipal clerk and lister or assessor; and the creation of the district shall occur at 12:01 a.m. on ~~April~~ January 1 of the calendar year so voted by the municipal legislative body.

Sec. 26. 32 V.S.A. § 3481(1)(B)(iv) is amended to read:

(iv) a capitalization rate that is typical for the geographic area determined and published annually prior to ~~April~~ January 1 by the Division of Property Valuation and Review after consultation with the Vermont Housing Finance Agency.

Sec. 27. 32 V.S.A. § 3482 is amended to read:

§ 3482. PROPERTY LISTED AT ONE PERCENT

Except as otherwise provided, all real and personal estate shall be set in the list at one percent of its listed value on ~~April~~ January 1, of the year of its appraisal.

Sec. 28. 32 V.S.A. § 3485 is amended to read:

*§ 3485. RECORDS TO BE KEPT RELATING TO DEEDS AND
MORTGAGES*

(a) Annually on ~~April~~ January 1, ~~town~~ municipal clerks shall furnish the listers with copies of the property tax returns filed by the clerk under section 9610 of this title relating to deeds that were filed for record during the year ending on the first day of such month. However, upon request in writing by the listers, on or before the 15th day of each month, ~~town~~ municipal clerks shall furnish the listers with copies of the property transfer tax returns to deeds that were filed for record during the next preceding calendar month.

(b) Failure on the part of the ~~town~~ municipal clerk to furnish the copies required under subsection (a) of this section shall not render the town liable in damages to any person. A ~~town~~ municipal clerk who willfully fails to furnish the copies required under subsection (a) of this section shall be fined \$10.00 for each offense.

Sec. 29. 32 V.S.A. § 3603(a) is amended to read:

(a) Construction equipment and other personal estate used in the construction or repair of highways, dams, reservoirs, public utilities, or buildings shall be listed and taxed on the same basis as other personal estate in the town in which it is located on ~~April~~ January 1. Such equipment brought into the State after ~~April~~ January 1 and prior to December 15 of any year shall

be taxed as other personal estate for that year in the town in which it is first used for a normal full work shift. The owner or person in charge of any equipment enumerated in this section shall, upon request of the Treasurer or tax collector of any municipality, present evidence that it has been listed for tax purposes in a municipality in this State. The Transportation Board and other State agencies shall insert in all contracts for construction a term by which the contractor agrees to pay taxes assessed under this section and section 4151 of this title.

Sec. 30. 32 V.S.A. § 3610(b) is amended to read:

(b) The listers of each town and the appraisers of each unorganized town and gore shall list every perpetual lease in a separate record in which shall be shown as to each lease a brief description of the leased land, the fair market value of the land as appraised by them, the name of the lessor, the annual rental payable under the lease, and as of ~~April~~ January 1 of each year the name and address of the lessee. If for any reason the lease is exempt under subsection (d) of this section, the reason for the exemption shall be noted.

Sec. 31. 32 V.S.A. § 3618(c)(2) is amended to read:

(2) "Net book value" of property means the cost less depreciation of the property as shown on the federal income tax return required to be filed with the federal authorities on or nearest in advance of ~~April~~ January 1 in any year.

Sec. 32. 32 V.S.A. § 3651 is amended to read:

§ 3651. GENERAL RULE

Taxable real estate shall be set in the list to the last owner or possessor thereof on ~~April~~ January 1 in each year in the town, village, school, and fire district where it is situated.

Sec. 33. 32 V.S.A. § 3691 is amended to read:

§ 3691. GENERAL RULE

Taxable tangible personal estate shall be set in the list to the last owner thereof on ~~April~~ January 1 in each year, in the town, village, school, and fire district where such property is situated, with the exception that such personal estate situated within this State owned by persons residing outside the State or by persons unknown to the listers shall be set in the list to the person having the same in charge, in the town, village, school, and fire district where the same is situated and shall be holden for all taxes assessed on such list. However, tangible personal estate owned by nonresident persons or corporation, and used in this State by the State or a department or institution thereof, under lease, contract or other agreement, written or oral, may be set in the list in the town where so used, to such nonresident owner.

Sec. 34. 32 V.S.A. § 3692(b) is amended to read:

(b) A trailer coach shall be taxed as real property by the town in which it is located notwithstanding subsection (a) of this section if it is situated in the town on the same trailer site or camp site for more than 180 days during the

365 days prior to ~~April~~ January 1. A trailer coach shall not be taxed as real property if it is stored on property on which the owner resides in another dwelling as a permanent residence.

Sec. 35. 32 V.S.A. § 3708 is amended to read:

*§ 3708. PAYMENTS IN LIEU OF TAXES FOR LANDS HELD BY THE
AGENCY OF NATURAL RESOURCES*

** * **

(b) The State shall annually pay on or before October 31 to each municipality a payment in lieu of taxes (PILOT) that shall be the base payment as set forth under this section, for all ANR land, excluding buildings or other improvements thereon, as of ~~April~~ January 1 of the current year.

(c) The State shall establish the base payment for all ANR land, excluding buildings or other improvements thereon, as follows;:

(1) ~~On~~ on parcels acquired before April 1, 2016, 0.60 percent of the fair market value as appraised by the Director of Property Valuation and Review as of April 1 of fiscal year 2015;

(2) ~~On~~ on parcels acquired on or after April 1, 2016, the municipal tax rate of the fair market value as assessed on ~~April~~ January 1 in the year of acquisition by the municipality in which it is located.

** * **

Sec. 36. 32 V.S.A. § 3755(b) is amended to read:

(b) Managed forestland shall be eligible for use value appraisal under this chapter only if:

(1) The land is subject to a forest management plan, subject to a conservation management plan in the case of lands certified under 10 V.S.A. § 6306(b), that is filed in the manner and form required by the Department of Forests, Parks and Recreation and that:

** * **

(D) Provides for continued conservation management, reserve forestland management, or forest crop production on the parcel for 10 years. An initial forest management plan or conservation management plan must be filed with the Department of Forests, Parks and Recreation on or before October 1 and shall be effective for a 10-year period beginning the following ~~April~~ January 1. Prior to expiration of a 10-year plan and on or before ~~April~~ January 1 of the year in which the plan expires, the owner shall file a new conservation or forest management plan for the next succeeding 10 years to remain in the program.

** * **

(2) A management report of whatever activity has occurred, signed by an owner or forester working on behalf of an owner, has been filed with the Department of Taxes' Director of Property Valuation and Review on or before

February 1 of the year following the year when the management activity occurred.

(3) There has not been filed with the Director an adverse inspection report by the Department stating that the management of the tract is contrary to the forest management plan, conservation management plan, or contrary to the minimum acceptable standards for forest or conservation management. The management activity report shall be on a form prescribed by the Commissioner of Forests, Parks and Recreation in consultation with the Commissioner of Taxes and shall be signed by all the owners and shall contain the tax identification numbers of all the owners. All information contained within the management activity report shall be forwarded to the Department of Forests, Parks and Recreation, except for any tax identification number included in the report. If any owner satisfies the Department that ~~he or she~~ the owner was prevented by accident, mistake, or misfortune from filing an initial or revised management plan that is required to be filed on or before October 1, or a management plan update that is required to be filed on or before ~~April~~ January 1 of the year in which the plan expires, or a management activity report that is required to be filed on or before February 1 of the year following the year when the management activity occurred, the owner may submit that management plan or management activity report at a later date; provided, however, no initial or revised management plan shall be received later than

December 31, and no management plan update shall be received later than one year after ~~April~~ January 1 of the year the plan expires, and no management activity report shall be received later than March 1.

Sec. 37. 32 V.S.A. § 3802a is amended to read:

§ 3802a. REQUIREMENT TO PROVIDE INSURANCE INFORMATION

Before ~~April~~ January 1 of each year, owners of property exempt from taxation under subdivisions 3802(4), (6), (9), (12), and (15) and under subdivisions 5401(10)(D), (F), (G), and (J) of this title shall provide their local assessing officials with information regarding the insurance replacement cost of the exempt property or with a written explanation of why the property is not insured.

Sec. 38. 32 V.S.A. § 3850(d) is amended to read:

(d) If a dwelling unit is certified as blighted under subsection (b) of this section, the exemption shall take effect on the ~~April~~ January 1 following the certification of the dwelling unit.

Sec. 39. 32 V.S.A. § 4001(a) is amended to read:

(a) Annually on ~~April~~ January 1, at the expense of the State, the Director shall furnish to the several ~~town~~ municipal clerks and boards of appraisers for unorganized towns and gores inventory forms sufficient in number to meet the requirements of this chapter. Such forms shall be formulated by the Director and, among other things, shall contain suitable interrogatories requiring each

taxpayer to furnish therein a brief statement of all of each taxpayer's taxable property, real and personal, and such other information, including income and expense information with respect to any income-producing properties, as will enable the listers or appraisers to appraise such part thereof as is required by law to be by them appraised, and to make up the abstract of individual lists and grand list in the manner prescribed by law.

Sec. 40. 32 V.S.A. § 4004 is amended to read:

§ 4004. RETURN OF INVENTORIES BY INDIVIDUALS

On or before ~~April~~ January 20, unless otherwise required, every taxable person shall procure such inventory form, make full answers to all interrogatories therein, subscribe the same, make oath thereto, and deliver or forward the same to one of the listers in the town wherein such person owns or possesses property required by law to be set to ~~him or her~~ the person in the grand list. When notice in writing to file, deliver, or forward such inventory on or before a given date is delivered by one of the listers to a person, or mailed postage prepaid to ~~him or her~~ the person at ~~his or her~~ the person's last known post office address, such person, within the time therein specified, shall properly fill out such inventory and deliver or forward the same to one of the listers, notwithstanding ~~he or she~~ the person may not own or possess property subject to taxation. Persons taxable only for real estate shall not be required to file such inventory unless notified so to do as herein provided.

Sec. 41. 32 V.S.A. § 4041 is amended to read:

§ 4041. EXAMINATION OF PROPERTY; APPRAISAL

On ~~April~~ January 1, the listers and assessors shall proceed to take up such inventories and make such personal examination of the property that they are required to appraise as will enable them to appraise it at its fair market value. When a board of listers is of the opinion that expert advice or assistance is needed in making any appraisal required by law, it may, with approval of ~~selectboard~~ the legislative body of the municipality or by vote of the ~~town~~ municipality, employ such assistance.

Sec. 42. 32 V.S.A. § 4044 is amended to read:

§ 4044. APPRAISAL OF PERSONALTY ON ~~APRIL~~ JANUARY 1

Unless otherwise provided, the taxable personal estate contained in the inventory shall be appraised by the listers at its fair market value on ~~April~~ January 1.

Sec. 43. 32 V.S.A. § 4045 is amended to read:

§ 4045. APPRAISAL ON OTHER THAN ~~APRIL~~ JANUARY 1

If any business is normally operated for a period less than 12 consecutive months and is not in operation on ~~April~~ January 1, an inventory shall be filed with the listers at least 15 days prior to the anticipated annual suspension of such business and the stock in trade shall be appraised for the period of

operation so as to represent an average of values of such property during that period in which the business has been carried on.

Sec. 44. 32 V.S.A. § 4605 is amended to read:

§ 4605. ASSESSMENT WHEN APPRAISAL ON OTHER THAN ~~APRIL~~

JANUARY 1

** * **

Sec. 45. 32 V.S.A. § 5401(7) is amended to read:

(7) “Homestead”:

(A) “Homestead” means the principal dwelling and parcel of land surrounding the dwelling, owned and occupied by a resident individual as the individual’s domicile or owned and fully leased on ~~April~~ January 1, provided the property is not leased for more than 182 days out of the calendar year or, for purposes of the renter credit under subsection 6066(b) of this title, is rented and occupied by a resident individual as the individual’s domicile.

** * **

(G) For purposes of homestead declaration and application of the homestead property tax rate, “homestead” also means a residence that was the homestead of the decedent at the date of death and, from the date of death through the next ~~April~~ January 1, is held by the estate of the decedent and not rented.

** * **

Sec. 46. 32 V.S.A. § 5404a(a)(6) is amended to read:

(6) An exemption of a portion of the value of a qualified rental unit parcel. An owner of a qualified rental unit parcel shall be entitled to an exemption on the education property tax grand list of 10 percent of the grand list value of the parcel, multiplied by the ratio of square footage of improvements used for or related to residential rental purposes to total square footage of all improvements, multiplied by the ratio of qualified rental units to total residential rental units on the parcel. “Qualified rental units” means residential rental units that are subject to rent restriction under provisions of State or federal law but excluding units subject to rent restrictions under only one of the following programs: Section 8 moderate rehabilitation, Section 8 housing choice vouchers, or Section 236 or Section 515 rural development rental housing. A municipality shall allow the percentage exemption under this subsection upon presentation by the taxpayer to the municipality, by ~~April~~ January 1, of a certificate of education grand list value exemption obtained from the Vermont Housing Finance Agency (VHFA). VHFA shall issue a certificate of exemption upon presentation by the taxpayer of information that VHFA and the Commissioner shall require. A certificate of exemption issued by VHFA under this subsection shall expire upon transfer of the building, upon expiration of the rent restriction, or after 10 years, whichever first occurs; provided, however, that the certificate of exemption may be renewed after 10

years and every 10 years thereafter if VHFA finds that the property continues to meet the requirements of this subsection.

Sec. 47. 32 V.S.A. § 5405 is amended to read:

§ 5405. DETERMINATION OF EQUALIZED EDUCATION PROPERTY

TAX GRAND LIST AND COEFFICIENT OF DISPERSION

(a) Annually, on or before April 1, the Commissioner shall determine the equalized education property tax grand list and coefficient of dispersion for each municipality in the State; provided, however, that for purposes of equalizing grand lists pursuant to this section, the equalized education property tax grand list of a municipality that establishes a tax increment financing district shall include the fair market value of the property in the district and not the original taxable value of the property, and further provided that the unified towns and gores of Essex County may be treated as one municipality for the purpose of determining an equalized education property grand list and a coefficient of dispersion, if the Director determines that all such entities have a uniform appraisal schedule and uniform appraisal practices.

** * **

(c) In determining the fair market value of property that is required to be listed at fair market value, the Commissioner shall take into consideration those factors required by section 3481 of this title. The Commissioner shall

value property as of ~~April~~ January 1 preceding the determination and shall take account of all homestead declaration information available before October 1 each year.

* * *

Sec. 48. 32 V.S.A. § 5410 is amended to read:

§ 5410. DECLARATION OF HOMESTEAD

(a) A homestead owner shall declare ownership of a homestead for purposes of education property tax.

(b) Annually, on or before the due date for filing the Vermont income tax return, without extension, each homestead owner shall, on a form prescribed by the Commissioner, which shall be verified under the pains and penalties of perjury, declare the owner's homestead, if any, as of, or expected to be as of, ~~April~~ January 1 of the year in which the declaration is made.

* * *

(d) The Commissioner shall provide a list of homesteads in each town to the ~~town~~ municipal listers and assessors by May 15. The listers and assessors shall notify the Commissioner by June 1 of any residences on the Commissioner's list that do not qualify as homesteads. The listers and assessors shall separately identify homesteads in the grand list.

* * *

** * * Municipal Tax Collection; State Oversight * * **

Sec. 49. 32 V.S.A. chapter 133, subchapter 9 is amended to read:

Subchapter 9. Delinquent Taxes

§ 5131. SUPERVISION BY DIRECTOR

~~The Director shall supervise the collection of delinquent taxes by officials of towns and other municipal corporations. [Repealed.]~~

§ 5132. CONFERENCES; BULLETINS; FORMS

~~The Director may examine a tax list in the hands of a collector; shall confer from time to time with collectors, advise them concerning their official duties, and furnish them printed instructions and directions relating thereto; shall issue such bulletins as in the Director's judgment will aid in enforcing the law; and shall formulate and furnish the necessary forms for the use of officials required to make returns to the Director. [Repealed.]~~

§ 5133. MEETINGS OF TAX COLLECTORS

~~The Director shall call meetings of collectors of taxes to be held at such places and at such times as he or she shall designate for the purpose of instruction as to the law governing their official duties and concerning the collection of delinquent taxes. [Repealed.]~~

§ 5134. FAILURE TO ATTEND MEETINGS; COMPENSATION

~~Collectors shall attend all meetings for instruction to which they are summoned in writing by the Director. When a collector is unable to attend, he~~

~~or she shall notify forthwith the Director stating the cause of such inability and, in his or her discretion, the Director may summon such collector to attend such other meeting as he or she may designate. Collectors attending such meetings shall receive therefor from the treasury of their municipality not less than \$10.00 per day and their necessary expenses. [Repealed.]~~

~~§ 5135. RETURNS TO DIRECTOR~~

~~Collectors and other officials named in this chapter shall render such assistance, furnish such information, and make such returns to the Director in relation to the subject of delinquent taxes and the administration of the law in reference thereto as he or she may require. [Repealed.]~~

~~* * *~~

~~Sec. 50. 24 U.S.A. § 138 is amended to read:~~

~~§ 138. LOCAL OPTION TAXES~~

~~* * *~~

~~(d)(1) Except as provided in subsection (c) of this section and subdivision (2) of this subsection with respect to taxes collected on the sale of aviation jet fuel, of the taxes collected under this section 75 percent of the taxes shall be paid on a quarterly basis to the municipality in which they were collected, after reduction for the costs of administration and collection under subsection (c) of this section, provided that an additional five percent of the taxes collected shall be paid on a quarterly basis to the municipality in which they~~

~~were collected in fiscal years that, at the close of the immediately preceding fiscal year, the Commissioner of Taxes determined that the balance of the PILOT Special Fund was in excess of \$18,000,000.00 at that time. Revenues received by a municipality may be expended for municipal services only, and not for education expenditures. Any remaining revenue shall be deposited into the PILOT Special Fund established by 32 V.S.A. § 3709.~~

~~(2)(A) Of the taxes collected under this section on the sale of aviation jet fuel, on a quarterly basis, 70 percent of the taxes shall be paid to the municipality in which they were collected, and 30 percent shall be deposited in the Transportation Fund.~~

~~(B) All revenues referenced in subdivision (A) of this subdivision (2) shall be used exclusively for aviation purposes consistent with 49 U.S.C. § 47133 and Federal Aviation Administration regulations and policies.~~

~~Sec. 50. [Deleted.]~~

~~Sec. 51. [Deleted.]~~

~~Sec. 52. [Deleted.]~~

~~Sec. 53. [Deleted.]~~

~~* * * 10-Year Tax Study * * *~~

~~Sec. 54. VERMONT 10-YEAR TAX STUDY~~

(a) The Joint Fiscal Office, with assistance from the Office of Legislative Counsel, and under the direction of the Joint Fiscal Committee, shall conduct a decennial study of Vermont State taxes.

(b) In conducting the study, the Joint Fiscal Office shall:

(1) Starting with 2015, analyze historical trends comparing Vermont taxes to the tax systems of other states, including a comparison of the percentage of Vermont revenue from each State-level source to the percentage of revenue from each state-level source in other states.

(2) Analyze Vermont's taxation levels and tax responsibilities per capita, per income level, and by incidence on typical Vermont families of varying incomes, and on typical Vermont business enterprises of varying sizes and types, and analyze trends in the taxpayer revenue bases for various tax types.

(3) Analyze and identify any issues or trends relating to tax flight, tax avoidance, and gaps in enforcement.

(4) Recommend areas for further research and analysis, including ways to further research the topics of wealth and income in Vermont's aging demographic.

(c) Based upon the information resulting from the study in subsection (b) of this section, the Joint Fiscal Office shall, as part of the study or separately, review income eligibility criteria for various tax provisions and benefit

programs to assess where potential gaps in eligibility or benefits cliffs may exist under Vermont's existing tax laws.

(d) For purposes of the study conducted under this section, the Department of Taxes shall provide assistance as requested by the Joint Fiscal Office.

(e) In fiscal year 2027, \$100,000.00 is appropriated from the General Fund to the Joint Fiscal Office for consultant assistance, data analysis, and other expenses related to the study conducted under this section. The duty to implement this section is contingent upon an appropriation of funds in fiscal year 2027 from the General Fund to the Joint Fiscal Office for the specific purposes described in this section.

(f) The Joint Fiscal Office shall submit the Vermont 10-year tax study to the House Committee on Ways and Means and the Senate Committee on Finance on or before January 15, 2027.

** * * Link-Up and Decoupling from Federal Income Tax Laws * * **

Sec. 55. 32 V.S.A. § 5811 is amended to read:

§ 5811. DEFINITIONS

As used in this chapter unless the context requires otherwise:

** * **

(18) "Vermont net income" means, for any taxable year and for any corporate taxpayer:

(A) the taxable income of the taxpayer for that taxable year under the laws of the United States, ~~without regard to 26 U.S.C. § 168(k), and~~ excluding income that under the laws of the United States is exempt from taxation by the states:

(i) increased by:

(I) the amount of any deduction for State and local taxes on or measured by income, franchise taxes measured by net income, franchise taxes for the privilege of doing business and capital stock taxes; ~~and~~

(II) to the extent such income is exempted from taxation under the laws of the United States ~~by~~, the amount received by the taxpayer on and after January 1, 1986, as interest income from state and local obligations, other than obligations of Vermont and its political subdivisions, and any dividends or other distributions from any fund to the extent such dividend or distribution is attributable to such Vermont State or local obligations;

(III) the amount of any deduction for a federal net operating loss; ~~and~~

(IV) an amount equal to the bonus depreciation deduction taken on the taxpayer's federal income tax return for the taxable year under Section 168(k) or (n) of the Internal Revenue Code;

(V) for any taxpayer that does not qualify as an eligible taxpayer, an amount equal to any deduction taken on the taxpayer's federal

income tax return for the taxable year under 26 U.S.C. § 174A and Pub. L. No. 119-21, 139 Stat. 72 (2025) § 70302(f)(2). For purposes of this subdivision (V), the term “eligible taxpayer” means any taxpayer (other than a tax shelter prohibited from using the cash receipts and disbursements method of accounting under 26 U.S.C. § 448(a)(3)) that meets the gross receipts test of 26 U.S.C. § 448(c) for the taxable year; and

(VI) an amount equal to the amount of income deducted under Section 250 of the Internal Revenue Code for the taxable year to the extent deducted from net income; and

(ii) decreased by:

(I) the “gross-up of dividends” required by the federal Internal Revenue Code to be taken into taxable income in connection with the taxpayer’s election of the foreign tax credit;

(II) the amount of income that results from the required reduction in salaries and wages expense for corporations claiming the Targeted Job or WIN credits; ~~and~~

(III) any federal deduction or credit that the taxpayer would have been allowed for the cultivation, testing, processing, or sale of cannabis or cannabis products as authorized under 7 V.S.A. chapter 33 or 37, but for 26 U.S.C. § 280E;

(IV) for the taxable year in which the bonus depreciation deduction is taken on the taxpayer's federal income tax return under Section 168(k) or (n) of the Internal Revenue Code and for each applicable taxable year thereafter, an amount equal to the depreciation deduction that would be allowed on that property if the taxpayer had made the election under Section 168(k)(7) or (n)(6) of the Internal Revenue Code to not claim depreciation on that property. In the taxable year that property is sold or otherwise disposed of, an additional deduction shall be allowed to the extent the amount of depreciation claimed under Section 168(k) or (n) of the Internal Revenue Code on that property has not been recovered through the additional deductions provided under this subdivision (18). The aggregate amount deducted under this subdivision (18)(A)(ii)(IV) in all taxable years for any one piece of property shall not exceed the amount of the bonus depreciation deduction taken on that property on the taxpayer's federal income tax return under Section 168(k) or (n) of the Internal Revenue Code, or exceed the amount of the additional modifications taken for that property on the taxpayer's Vermont income tax return under subdivision (i)(IV) of this subdivision (18)(A);

(V) for a taxpayer that does not qualify as an eligible taxpayer for the taxable year, as defined under subdivision (i)(V) of this subdivision (18)(A), for the taxable year in which a deduction is taken on the taxpayer's federal income tax return under 26 U.S.C. § 174A, or Pub. L. No. 119-21, 139

Stat. 72 (2025) § 70302(f)(2), or both, and for each applicable taxable year thereafter, an amount equal to the deduction that would be allowed under 26 U.S.C. § 174 applied as those provisions were in effect on December 31, 2024. The aggregate amount deducted under this subdivision (18)(A)(ii)(V) in all taxable years may not exceed the amount of the deduction taken on that expenditure on the taxpayer's federal income tax return under the Internal Revenue Code, or exceed the amount of the addition modifications taken on the taxpayer's Vermont income tax return under subdivision (i)(V) of this subdivision (18)(A);

(VI) for a taxpayer that qualifies as an eligible taxpayer for the taxable year as defined under subdivision (i)(V) of this subdivision (18)(A) and has domestic research or experimental expenditures, as defined in 26 U.S.C. § 174A, as added by subsection 174A(a), which are paid or incurred in taxable years beginning after December 31, 2021, and before January 1, 2025, and which was charged to capital account pursuant to 26 U.S.C. § 174 as those provisions were in effect on December 31, 2024, and further elected under Pub. L. No. 119-21, 139 Stat. 72 (2025) § 70302(f)(1) to substitute "December 31, 2021" for "December 31, 2024" as the applicable effective date for certain provisions in 26 U.S.C. § 174A and accordingly filed an amended federal return for each taxable year affected by such election, for the tax year beginning on or after January 1, 2025, and for each applicable taxable year

thereafter, a taxpayer may elect to deduct any remaining unamortized amount with respect to such expenditures in the first taxable year beginning after December 31, 2024, or to deduct such remaining unamortized amount with respect to such expenditures ratably over the two-taxable year period beginning with the first taxable year beginning after December 31, 2024. The aggregate amount deducted under this subdivision (A)(ii)(VI) when combined with any other deduction for the domestic research or experimental expenditure allowed pursuant to Vermont's adoption of the statutes of the United States relating to the federal income tax under section 5824 of this chapter in all taxable years may not exceed the amount of the deduction taken for that expenditure on the taxpayer's federal income tax return under the Internal Revenue Code; and

(VII) for a taxpayer that qualifies as an eligible taxpayer for the taxable year as defined under subdivision (i)(V) of this subdivision (18)(A) and has made an addition modification under subdivision (i)(V) in a prior tax year; an amount equal to the subtraction modification that would have been allowed in this taxable year under subdivision (A)(ii)(V) of this subdivision (18) but for the taxpayer's current status as an eligible taxpayer. The aggregate amount deducted under this subdivision (18)(A)(ii)(VII) in all taxable years for any expenditure may not exceed the amount of the deduction taken for that expenditure on the taxpayer's federal income tax return under

the Internal Revenue Code, or exceed the amount of the addition modifications taken for that expenditure on the taxpayer's Vermont income tax return under subdivision (i)(V) of this subdivision (18)(A) for expenditures paid or incurred in taxable years on or after January 1, 2025.

* * *

(21) "Taxable income" means, in the case of an individual, federal adjusted gross income ~~determined without regard to 26 U.S.C. § 168(k)~~ and:

(A) increased by the following items of income (to the extent such income is excluded from federal adjusted gross income):

(i) interest income from non-Vermont state and local obligations;
~~and~~

(ii) dividends or other distributions from any fund to the extent they are attributable to non-Vermont state or local obligations; ~~and~~

(iii) an amount equal to the bonus depreciation deduction taken on the taxpayer's federal income tax return for the taxable year under Section 168(k) or (n) of the Internal Revenue Code, including any amount of bonus depreciation deduction carried over on the taxpayer's federal income tax return as part of a net operating loss from a prior taxable year that is deducted in the current taxable year; and

(iv) for any taxpayer that does not qualify as an eligible taxpayer, an amount equal to any deduction taken on the taxpayer's federal income tax

return for the taxable year under 26 U.S.C. § 174A, or Pub. L. No. 119-21, 139 Stat. 72 (2025) § 70302(f)(2), or both, and any amount of these deductions carried over on the taxpayer's federal income tax return as part of a net operating loss from a prior tax year that is deducted in the current taxable year. For purposes of this subdivision (iv), the term "eligible taxpayer" means any taxpayer (other than a tax shelter prohibited from using the cash receipts and disbursements method of accounting under 26 U.S.C. § 448(a)(3)) that meets the gross receipts test of 26 U.S.C. § 448(c) for the taxable year; and

(B) decreased by the following items of income (to the extent such income is included in federal adjusted gross income):

(i) income from U.S. government obligations;

(ii) with respect to adjusted net capital gain income as defined in 26 U.S.C. § 1(h) reduced by the total amount of any qualified dividend income: either the first \$5,000.00 of such adjusted net capital gain income or 40 percent of adjusted net capital gain income from the sale of assets held by the taxpayer for more than three years, except not adjusted net capital gain income from:

(I) the sale of any real estate or portion of real estate used by the taxpayer as a primary or nonprimary residence; or

(II) the sale of depreciable personal property other than farm property and standing timber; or stocks or bonds publicly traded or traded on

an exchange, or any other financial instruments; regardless of whether sold by an individual or business; and provided that the total amount of decrease under this subdivision (21)(B)(ii) shall not exceed 40 percent of federal taxable income or \$350,000.00, whichever is less;

(iii) recapture of State and local income tax deductions not taken against Vermont income tax;

(iv) the portion of certain retirement income and federally taxable benefits received under the federal Social Security Act that is required to be excluded under section 5830e of this chapter;

(v) the amount of any federal deduction or credit that the taxpayer would have been allowed for the cultivation, testing, processing, or sale of cannabis or cannabis products as authorized under 7 V.S.A. chapter 33 or 37, but for 26 U.S.C. § 280E; ~~and~~

(vi) the amount of interest paid by a qualified resident taxpayer during the taxable year on a qualified education loan for the costs of attendance at an eligible educational institution;

(vii) for the taxable year in which the bonus depreciation deduction is taken on the taxpayer's federal income tax return under Section 168(k) or (n) of the Internal Revenue Code and for each applicable taxable year thereafter, an amount equal to the depreciation deduction that would be allowed on that property if the taxpayer had made the election under Section

168(k)(7) or (n)(6) of the Internal Revenue Code to not claim bonus depreciation on that property. In the taxable year that property is sold or otherwise disposed of, an additional deduction shall be allowed to the extent the amount of depreciation claimed under Section 168(k) or (n) of the Internal Revenue Code on that property has not been recovered through the additional deductions provided under this subdivision (21). The aggregate amount deducted under this subdivision (21)(B)(vii) in all taxable years for any one piece of property shall not exceed the amount of the bonus depreciation deduction taken on that property on the taxpayer's federal income tax return under Section 168(k) or (n) of the Internal Revenue Code, or exceed the amount of the addition modifications taken for that property on the taxpayer's Vermont income tax return under subdivision (A)(iii) of this subdivision (21); and

(viii) for a taxpayer that does not qualify as an eligible taxpayer for the taxable year, as defined under subdivision (A)(iv) of this subdivision (21), for the taxable year in which a deduction is taken on the taxpayer's federal income tax return under 26 U.S.C. § 174A, or Pub. L. No. 119-21, 139 Stat. 72 (2025) § 70302(f)(2), or both, and for each applicable taxable year thereafter, an amount equal to the deduction that would be allowed under 26 U.S.C. § 174 applied as those provisions were in effect on December 31, 2024. The aggregate amount deducted under this subdivision (21)(B)(viii) in all

taxable years may not exceed the amount of the deduction taken on that expenditure on the taxpayer's federal income tax return under the Internal Revenue Code, or exceed the amount of the addition modifications taken on the taxpayer's Vermont income tax return under subdivision (A)(iv) of this subdivision (21);

(ix) for a taxpayer that qualifies as an eligible taxpayer for the taxable year as defined under subdivision (A)(iv) of this subdivision (21) and has domestic research or experimental expenditures, as defined in 26 U.S.C. § 174A, as added by subsection 174A(a), which are paid or incurred in taxable years beginning after December 31, 2021, and before January 1, 2025, and which was charged to capital account pursuant to 26 U.S.C. § 174 as those provisions were in effect on December 31, 2024, and elected under Pub. L. No. 119-21, 139 Stat. 72 (2025) § 70302(f)(1) to substitute "December 31, 2021" for "December 31, 2024" as the applicable effective date for certain provisions in 26 U.S.C. § 174A and accordingly filed an amended federal return for each taxable year affected by such election, for the tax year beginning on or after January 1, 2025, and for each applicable taxable year thereafter, a taxpayer may elect to deduct any remaining unamortized amount with respect to such expenditures in the first taxable year beginning after December 31, 2024, or to deduct such remaining unamortized amount with respect to such expenditures ratably over the two-taxable year period

beginning with the first taxable year beginning after December 31, 2024. The aggregate amount deducted under this subdivision (21)(B)(ix) when combined with any other deduction for the domestic research or experimental expenditure allowed pursuant to Vermont's adoption of the statutes of the United States relating to the federal income tax under section 5824 of this chapter in all taxable years may not exceed the amount of the deduction taken for that expenditure on the taxpayer's federal income tax return under the Internal Revenue Code; and

(x) for a taxpayer that qualifies as an eligible taxpayer for the taxable year as defined under subdivision (A)(iv) of this subdivision (21) and has made an addition modification under subdivision (A)(iv) of this subdivision (21) in a prior tax year, an amount equal to the subtraction modification that would have been allowed in this taxable year under subdivision (viii) of this subdivision (21)(B) but for the taxpayer's current status as an eligible taxpayer. The aggregate amount deducted under this subdivision (21)(B)(x) in all taxable years for any expenditure may not exceed the amount of the deduction taken for that expenditure on the taxpayer's federal income tax return under the Internal Revenue Code, or exceed the amount of the addition modifications taken for that expenditure on the taxpayer's Vermont income tax return under subdivision (A)(iv) of this

subdivision (21) for expenditures paid or incurred in taxable years on or after January 1, 2025; and

* * *

(28) “Taxable income” means, in the case of an estate or a trust, federal taxable income ~~determined without regard to 26 U.S.C. § 168(k)~~ and:

(A) increased by the following items of income:

(i) interest income from non-Vermont state and local obligations;

(ii) dividends or other distributions from any fund to the extent they are attributable to non-Vermont state or local obligations; and

(iii) the amount of State and local income taxes deducted from federal gross income for the taxable year; ~~and~~

(iv) an amount equal to the bonus depreciation deduction taken on the taxpayer’s federal income tax return for the taxable year under Section 168(k) or (n) of the Internal Revenue Code, including any amount of bonus depreciation deduction carried over on the taxpayer’s federal income tax return as part of a net operating loss from a prior tax year that is deducted in the current taxable year; and

(v) for any taxpayer that does not qualify as an eligible taxpayer, an amount equal to any deduction taken on the taxpayer’s federal income tax return for the taxable year under 26 U.S.C. § 174A or Pub. L. No. 119-21, 139 Stat. 72 (2025) § 70302(f)(2), or both, and any amount of these deductions

carried over on the taxpayer's federal income tax return as part of a net operating loss from a prior tax year that is deducted in the current taxable year. For purposes of this subdivision (v), the term "eligible taxpayer" means any taxpayer (other than a tax shelter prohibited from using the cash receipts and disbursements method of accounting under 26 U.S.C. § 448(a)(3)) that meets the gross receipts test of 26 U.S.C. § 448(c) for the taxable year; and

(B) decreased by the following items of income:

(i) income from U.S. government obligations;

(ii) with respect to adjusted net capital gain income as defined in 26 U.S.C. § 1(h) reduced by the total amount of any qualified dividend income: either the first \$5,000.00 of such adjusted net capital gain income or 40 percent of adjusted net capital gain income from the sale of assets held by the taxpayer for more than three years, except not adjusted net capital gain income from:

(I) the sale of any real estate or portion of real estate used by the taxpayer as a primary or nonprimary residence; or

(II) the sale of depreciable personal property other than farm property and standing timber; or stocks or bonds publicly traded or traded on an exchange, or any other financial instruments; regardless of whether sold by an individual or business; and provided that the total amount of decrease

under this subdivision (28)(B)(ii) shall not exceed 40 percent of federal taxable income or \$350,000.00, whichever is less; and

(iii) recapture of State and local income tax deductions not taken against Vermont income tax;

(iv) for the taxable year in which the bonus depreciation deduction is taken on the taxpayer's federal income tax return under Section 168(k) or (n) of the Internal Revenue Code and for each applicable taxable year thereafter, an amount equal to the depreciation deduction that would be allowed on that property if the taxpayer had made the election under Section 168(k)(7) or (n)(6) of the Internal Revenue Code to not claim bonus depreciation on that property. In the taxable year that property is sold or otherwise disposed of, an additional deduction shall be allowed to the extent the amount of depreciation claimed under Section 168(k) or (n) of the Internal Revenue Code on that property has not been recovered through the additional deductions provided under this subdivision (28). The aggregate amount deducted under this subdivision (28)(B)(iv) in all taxable years for any one piece of property shall not exceed the amount of the bonus depreciation deduction taken on that property on the taxpayer's federal income tax return under Section 168(k) or (n) of the Internal Revenue Code, or exceed the amount of the addition modifications taken on that property on the taxpayer's Vermont income tax return under subdivision (A)(iv) of this subdivision (28);

(v) for a taxpayer that does not qualify as an eligible taxpayer for the taxable year, as defined under subdivision (A)(v) of this subdivision (28), for the taxable year in which a deduction is taken on the taxpayer's federal income tax return under 26 U.S.C. § 174A, or Pub. L. No. 119-21, 139 Stat. 72 (2025) § 70302(f)(2), or both, and for each applicable taxable year thereafter, an amount equal to the deduction that would be allowed under 26 U.S.C. § 174 applied as those provisions were in effect on December 31, 2024. The aggregate amount deducted under this subdivision (v) in all taxable years may not exceed the amount of the deduction taken on that expenditure on the taxpayer's federal income tax return under the Internal Revenue Code, or exceed the amount of the addition modifications taken on the taxpayer's Vermont income tax return under subdivision (A)(v) of this subdivision (28);

(vi) for a taxpayer that qualifies as an eligible taxpayer for the taxable year as defined under subdivision (A)(v) of this subdivision (28) and has domestic research or experimental expenditures, as defined in 26 U.S.C. § 174A, as added by subsection 174A(a), which are paid or incurred in taxable years beginning after December 31, 2021, and before January 1, 2025, and which was charged to capital account pursuant to 26 U.S.C. § 174 as those provisions were in effect on December 31, 2024, and elected under Pub. L. No. 119-21, 139 Stat. 72 (2025) § 70302(f)(1) to substitute "December 31, 2021" for "December 31, 2024" as the applicable effective date for certain

provisions in 26 U.S.C. § 174A and accordingly filed an amended federal return for each taxable year affected by such election, for the tax year beginning on or after January 1, 2025, and for each applicable taxable year thereafter, a taxpayer may elect to deduct any remaining unamortized amount with respect to such expenditures in the first taxable year beginning after December 31, 2024, or to deduct such remaining unamortized amount with respect to such expenditures ratably over the two-taxable year period beginning with the first taxable year beginning after December 31, 2024. The aggregate amount deducted under this subdivision (28)(B)(vi) when combined with any other deduction for the domestic research or experimental expenditure allowed pursuant to Vermont's adoption of the statutes of the United States relating to the federal income tax under section 5824 of this chapter in all taxable years may not exceed the amount of the deduction taken for that expenditure on the taxpayer's federal income tax return under the Internal Revenue Code; and

(vii) for a taxpayer that qualifies as an eligible taxpayer for the taxable year as defined under subdivision (A)(v) of this subdivision (28) and has made an addition modification under subdivision (A)(v) of this subdivision (28) in a prior tax year, an amount equal to the subtraction modification that would have been allowed in this taxable year under subdivision (v) of this subdivision (28)(B) but for the taxpayer's current status as an eligible

taxpayer. The aggregate amount deducted under this subdivision in all taxable years for any expenditure may not exceed the amount of the deduction taken for that expenditure on the taxpayer's federal income tax return under the Internal Revenue Code, or exceed the amount of the addition modifications taken for that expenditure on the taxpayer's Vermont income tax return under subdivision (A)(v) of this subdivision (28) for expenditures paid or incurred in taxable years on or after January 1, 2025.

* * *

Sec. 55a. 32 V.S.A. § 5811 is amended to read:

§ 5811. DEFINITIONS

As used in this chapter:

* * *

(21) "Taxable income" means, in the case of an individual, federal adjusted gross income and:

(A) increased by the following items of income (to the extent such income is excluded from federal adjusted gross income):

* * *

(v) an amount equal to any income or gain from the sale or exchange of qualified small business stock excluded from federal gross income for the taxable year under Section 1202(a) of the Internal Revenue Code; and

(B) decreased by the following items of income (to the extent such income is included in federal adjusted gross income):

(i) income from U.S. government obligations;

(ii)(I) with respect to adjusted net capital gain income as defined in 26 U.S.C. § 1(h) reduced by the total amount of any qualified dividend income: either the first \$5,000.00 of such adjusted net capital gain income or 40 percent of adjusted net capital gain income from the sale of assets held by the taxpayer for more than three years, except not adjusted net capital gain income from:

~~(H)(aa)~~ the sale of any real estate or portion of real estate used by the taxpayer as a primary or nonprimary residence; or

~~(H)(bb)~~ the sale of depreciable personal property other than farm property and standing timber; or stocks or bonds publicly traded or traded on an exchange, or any other financial instruments; regardless of whether sold by an individual or business; and provided that the total amount of decrease under this subdivision (21)(B)(ii) shall not exceed 40 percent of federal taxable income or \$350,000.00, whichever is less;

(II) notwithstanding the limitation under subdivision (I)(bb) of this subdivision (ii) relating to “stocks or bonds publicly traded or traded on an exchange, or any other financial instruments,” gains from the sale or exchange of qualified small business stock added to taxable income under

subdivision (A)(v) of this subdivision (21) may be decreased pursuant to this subdivision (ii); accordingly, for the purposes of this subdivision (ii), adjusted net capital gain income, federal adjusted gross income, and federal taxable income shall include any amounts added to a taxpayer's taxable income pursuant to subdivision (A)(v) of this subdivision (21); and

* * *

(28) "Taxable income" means, in the case of an estate or a trust, federal taxable income and:

(A) increased by the following items of income:

* * *

(vi) an amount equal to any income or gain from the sale or exchange of qualified small business stock excluded from federal gross income for the taxable year under Section 1202(a) of the Internal Revenue Code; and

(B) decreased by the following items of income:

(i) income from U.S. government obligations;

(ii)(I) with respect to adjusted net capital gain income as defined in 26 U.S.C. § 1(h) reduced by the total amount of any qualified dividend income: either the first \$5,000.00 of such adjusted net capital gain income or 40 percent of adjusted net capital gain income from the sale of assets held by the taxpayer for more than three years, except not adjusted net capital gain income from:

~~(H)(aa)~~ the sale of any real estate or portion of real estate used by the taxpayer as a primary or nonprimary residence; or

~~(H)(bb)~~ the sale of depreciable personal property other than farm property and standing timber; or stocks or bonds publicly traded or traded on an exchange, or any other financial instruments; regardless of whether sold by an individual or business; and provided that the total amount of decrease under this subdivision (28)(B)(ii) shall not exceed 40 percent of federal taxable income or \$350,000.00, whichever is less;

~~(II) notwithstanding the limitation under subdivision (I)(bb) of this subdivision (ii) relating to “stocks or bonds publicly traded or traded on an exchange, or any other financial instruments,” gains from the sale or exchange of qualified small business stock added to taxable income under subdivision (A)(vi) of this subdivision (28) may be decreased pursuant to this subdivision (ii); accordingly, for the purposes of this subdivision (ii), adjusted net capital gain income, federal adjusted gross income, and federal taxable income shall include any amounts added to a taxpayer’s taxable income pursuant to subdivision (A)(vi) of this subdivision (28); and~~

* * *

Sec. 56. 32 V.S.A. § 5822 is amended to read:

§ 5822. TAX ON INCOME OF INDIVIDUALS, TRUSTS, AND ESTATES

* * *

(e) The tax determined under subsections (a) through (d) of this section shall be reduced by a percentage equal to the portion of adjusted gross income that is not Vermont income; provided, however, that if a taxpayer's Vermont income exceeds the taxpayer's adjusted gross income, no reduction shall be made and provided, further, that if a taxpayer has zero or negative Vermont income and the taxpayer's Vermont income computed without regard to the reductions in subsection 5823(a) of this chapter does not equal or exceed the taxpayer's adjusted gross income, no tax shall be due under this section. For the purposes of this subsection, adjusted gross income means federal adjusted gross income modified by the additions and subtractions provided for in subdivisions 5811(21)(A) and (B) of this chapter for an individual, and federal adjusted gross income modified by the additions and subtractions provided for in subdivisions 5811(28)(A) and (B) of this chapter for an estate or a trust.

Sec. 57. 32 V.S.A. § 5823 is amended to read:

*§ 5823. VERMONT INCOME OF INDIVIDUALS, ESTATES, AND
TRUSTS*

** * **

(b) For any taxable year, the Vermont income of a nonresident individual, estate, or trust is the sum of the following items of income to the extent they are required to be included in the federal adjusted gross income of the individual after the value of those items are modified by the additions and subtractions

provided for in subdivisions 5811(21)(A) and (B) of this chapter or the gross federal adjusted gross income of an estate or trust after the value of those items are modified by the additions and subtractions provided for in subdivisions (28)(A) and (B) of this chapter for that taxable year:

* * *

Sec. 58. 32 V.S.A. § 5930ii is amended to read:

§ 5930ii. RESEARCH AND DEVELOPMENT TAX CREDIT

(a) A taxpayer of this State shall be eligible for a credit against the tax imposed under this chapter in an amount equal to ~~27~~ 75 percent of the amount of the federal tax credit allowed in the taxable year for eligible research and development expenditures under 26 U.S.C. § 41(a) that are made within this State.

(b) Any unused credit available under subsection (a) of this section may be carried forward for up to 10 years.

(c) Each year, on or before January 15, the Department of Taxes shall publish a list containing the names of the taxpayers who have claimed a credit under this section during the most recent completed calendar year.

Sec. 59. 32 V.S.A. § 5930ee is amended to read:

§ 5930ee. LIMITATIONS

Beginning in fiscal year 2010 and thereafter, the State Board may award tax credits to all qualified applicants under this subchapter, provided that:

(1) the total amount of tax credits awarded annually, together with sales tax reallocated under section 9819 of this title, does not exceed ~~\$3,000,000.00~~ \$3,500,000.00;

* * *

Sec. 60. 32 V.S.A. § 5824 is amended to read:

§ 5824. ADOPTION OF FEDERAL INCOME TAX LAWS

The statutes of the United States relating to the federal income tax, as in effect on December 31, ~~2024~~ 2025, but without regard to federal income tax rates under 26 U.S.C. § 1, are hereby adopted for the purpose of computing the tax liability under this chapter and shall continue in effect as adopted until amended, repealed, or replaced by act of the General Assembly.

Sec. 61. 32 V.S.A. § 7402(8) is amended to read:

(8) “Laws of the United States” means the U.S. Internal Revenue Code of 1986, as amended through December 31, ~~2024~~ 2025. As used in this chapter, “Internal Revenue Code” has the same meaning as “laws of the United States” as defined in this subdivision. The date through which amendments to the U.S. Internal Revenue Code of 1986 are adopted under this subdivision shall continue in effect until amended, repealed, or replaced by act of the General Assembly.

** * * Revenue Deposits; Purchase and Use and Meals and Rooms Taxes * * **

Sec. 62. 16 V.S.A. § 4025 is amended to read:

§ 4025. EDUCATION FUND

(a) The Education Fund is established to comprise the following:

** * **

(4) ~~25~~ 29 percent of the revenues from the meals and rooms taxes imposed under 32 V.S.A. chapter 225;

(5) ~~one-third~~ 27 percent of the revenues raised from the purchase and use tax imposed by 32 V.S.A. chapter 219, notwithstanding 19 V.S.A. § 11(1);

** * **

Sec. 63. 32 V.S.A. § 435(b)(7) is amended to read:

(7) ~~69~~ 65 percent of the meals and rooms taxes levied pursuant to chapter 225 of this title;

** * * Burlington Waterfront TIF * * **

Sec. 63a. BURLINGTON WATERFRONT TAX INCREMENT

FINANCING DISTRICT; FINDINGS; INTENT

(a) The General Assembly finds that:

(1) 1985 Acts and Resolves No. 87 authorized municipalities to create tax increment financing districts and to retain municipal tax increment pursuant to 24 V.S.A. chapter 53, subchapter 5.

(2) The City of Burlington created the Burlington Waterfront Tax Increment Financing (TIF) District in the Lake Street area of the City on January 22, 1996, prior to the creation of the statewide education property tax in 1997 Acts and Resolves No. 60.

(3) 1997 Acts and Resolves No. 60, Sec. 45, created a statewide education property tax and authorized each municipality with an existing tax increment financing district under 24 V.S.A. chapter 53, subchapter 5, to expand the existing district by June 30, 1997, and “to collect all state and local property taxes on properties within the tax increment financing district and apply those revenues to repayment of debt issued to finance improvements within the tax increment financing district” (emphasis added). This provision authorized the City of Burlington to retain 100 percent of the Burlington Waterfront TIF District’s municipal and education property tax increment.

(4) The City of Burlington voted to expand the Burlington Waterfront TIF District on June 23, 1997, to include property extending along Cherry Street from Battery Street to Church Street.

(5) 2009 Acts and Resolves No. 54, Sec. 83, extended the City of Burlington’s authority to incur indebtedness for the TIF district by five years beginning January 1, 2010, and tasked the City of Burlington with submitting to the Joint Fiscal Committee “a proposal for implementation of a payment to the education fund in lieu of tax increment which would approximate 25

percent of the new incremental education property tax revenue and the mechanism for payment by the City to the education fund, including payment dates.”

(6) The City of Burlington submitted the proposal to the Joint Fiscal Committee on August 31, 2009, and explained that the payment in lieu of tax increment was intended to reduce the administrative complexity that would result from having “two TIF rates and two ‘original taxable bases’ within the same district.” The proposal provided for a payment to the Education Fund of 25 percent of “the new incremental education property taxes” (emphasis added) on properties within the Burlington Waterfront TIF District other than 35 Cherry Street and 41 Cherry Street. For these two properties, the City proposed to retain 100 percent of the property tax increment.

(7) The Joint Fiscal Committee approved the City of Burlington’s proposal on September 10, 2009, and the General Assembly enacted the terms of the proposal in 2011 Acts and Resolves No. 45, Sec.16. This legislation left untouched the municipal property tax increment retention percentage.

(8) 2013 Acts and Resolves No. 80 codified the City of Burlington’s authorization to use education tax increment financing for the Burlington Waterfront TIF District at 24 V.S.A. § 1892(d), extended the City’s authority to incur indebtedness for the TIF district for five years beginning January 1,

2015, and clarified that the extension of the City's debt incurrence period did not extend the City's tax increment retention period.

(9) 2016 Acts and Resolves No. 134, Sec. 9a, extended the period to incur indebtedness for an additional one and a half years for three properties located at 49 Church Street and 75 Cherry Street, as designated on the City of Burlington's Tax Parcel Maps as Parcel ID# 044-4-004-000, Parcel ID# 044-4-004-001, and Parcel ID# 044-4-033-000. For these three properties, the General Assembly further authorized the City of Burlington to extend the City's tax increment retention period until June 30, 2035.

(10) 2020 Acts and Resolves No. 175, Sec. 29, further extended the period to incur indebtedness for these same three properties to June 30, 2022, provided that certain contingencies were met, and clarified that the extension of the City's debt incurrence period for these three properties did not extend the City's tax increment retention period.

(11) 2021 Acts and Resolves No. 73, Sec. 26a, further extended the period to incur indebtedness for these same three properties to June 30, 2023.

~~(b) It is the intent of the General Assembly to clarify that the City of Burlington may retain until June 30, 2035, 75 percent of the State education tax increment and 100 percent of the municipal tax increment for the following three properties located at 49 Church Street and 75 Cherry Street, as designated on the City of Burlington's Tax Parcel Maps:~~

~~(1) Parcel ID# 044-4-004-000;~~

~~(2) Parcel ID# 044-4-004-001; and~~

~~(3) Parcel ID# 044-4-033-000.~~

(b) It is the intent of the General Assembly to clarify that the City of Burlington may retain State education tax increment and municipal tax increment until June 30, 2035, consistent with the methodology approved by the Joint Fiscal Committee on September 10, 2009, for the following three properties located at 49 Church Street and 75 Cherry Street, as designated on the City of Burlington's Tax Parcel Maps:

(1) Parcel ID# 044-4-004-000;

(2) Parcel ID# 044-4-004-001; and

(3) Parcel ID# 044-4-033-000.

(c) This section shall not be construed to modify the tax increment retention percentages for the Burlington Waterfront TIF District.

Sec. 63b. ADJUSTMENT OF RETENTION PERCENTAGES

On or before November 15, 2029, the City of Burlington shall submit an updated tax increment financing plan for the Burlington Waterfront Tax Increment Financing (TIF) District to the Vermont Economic Progress Council. The plan shall include adjustments and updates of appropriate data and information sufficient for the Council to determine, based on tax increment financing debt actually incurred and the history of increment generated,

whether the municipal tax increment and State education tax increment percentages should be continued or adjusted to a lower percentage to be retained for the remaining duration of the retention period and still provide sufficient municipal and State education tax increment to service the remaining debt.

Sec. 63c. 16 V.S.A. § 4025 is amended to read:

§ 4025. EDUCATION FUND

(a) The Education Fund is established to comprise the following:

* * *

(4) ~~29~~ 32.5 percent of the revenues from the meals and rooms taxes imposed under 32 V.S.A. chapter 225;

(5) ~~27~~ 21 percent of the revenues raised from the purchase and use tax imposed by 32 V.S.A. chapter 219, notwithstanding 19 V.S.A. § 11(1);

* * *

Sec. 63d. 32 V.S.A. § 435(b)(7) is amended to read:

(7) ~~65~~ 61.5 percent of the meals and rooms taxes levied pursuant to chapter 225 of this title;

Sec. 63e. LEGISLATIVE INTENT; TRANSPORTATION AND

EDUCATION FUNDS

It is the intent of the General Assembly, in future fiscal years, to gradually shift additional revenue generated by the motor vehicle purchase and use tax

to the Transportation Fund. It is further intended that any future changes resulting in a decrease of revenues deposited in the Education Fund be accompanied by other revenue policy measures that mitigate any impact on statewide education property taxes.

** * * Effective Dates * * **

Sec. 64. EFFECTIVE DATES

This act shall take effect on passage except:

(1) Notwithstanding 1 V.S.A. § 214, Sec. 1 (credit for taxes paid in another state by an S corporation) shall take effect retroactively on January 1, 2025, and shall apply to taxable years beginning on and after January 1, 2025.

(2) Secs. 3 and 4 (current use; land use change tax) shall take effect on October 1, 2026.

(3) Sec. 6 (communications property) shall take effect on January 1, 2027, and apply to grand lists lodged beginning on April 1, 2027.

(4) Sec. 20 (grand list definition of parcel) shall take effect on April 1, 2028, and shall apply to grand lists lodged on and after that date.

(5) Sec. 22 (Department of Fish and Wildlife rule on fees) shall take effect on July 1, 2027.

(6) Secs. 24–48 (grand list assessment date) shall take effect on July 1, 2031, and shall apply to grand lists lodged after that date.

(7) Sec. 58 (Vermont research and development tax credit) shall take effect on January 1, 2027, and shall apply to taxable years beginning on and after January 1, 2027.

(8) Notwithstanding 1 V.S.A. § 214, Secs. 55, 56, and 57 (decoupling from select provisions of IRC) and Secs. 60 and 61 (annual link-up) shall take effect retroactively on January 1, 2026, and shall apply to taxable years beginning on and after January 1, 2025.

(9) Notwithstanding 1 V.S.A. § 214, Sec. 55a (decoupling from IRC section 1202(a)) shall take effect retroactively on January 1, 2026, and shall apply to taxable years beginning on and after January 1, 2026.

~~(10) Sec. 50 (local option tax revenue) shall take effect on October 1, 2026.~~

(10) Secs. 62 and 63 (deposit of meals and rooms tax and purchase and use tax revenues) shall take effect on July 1, 2026, and apply beginning with fiscal year 2027.

(11) Secs. 63c and 63d (deposit of meals and rooms tax and purchase and use tax revenues) shall take effect on July 1, 2027, and apply beginning with fiscal year 2028.